LUMAX AUTO TECHNOLOGIES

Initiating Coverage

A RISING CONTENT PER VEHICLE STORY
MULTIPLE GROWTH LEVERS AHEAD

October 12, 2025

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OUR RECENT INITIATING COVERAGE REPORTS

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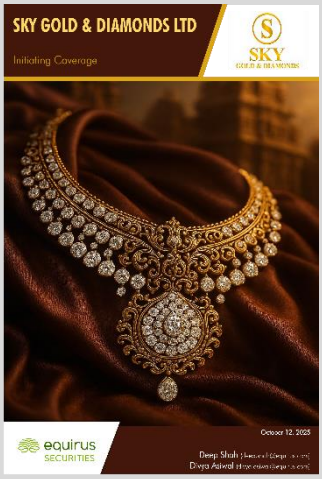

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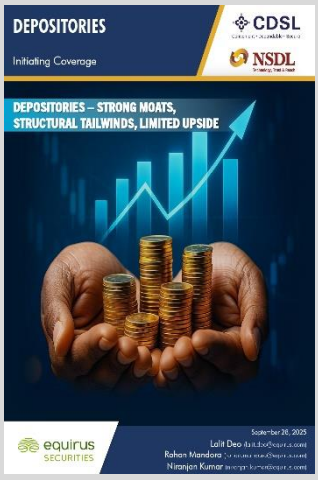

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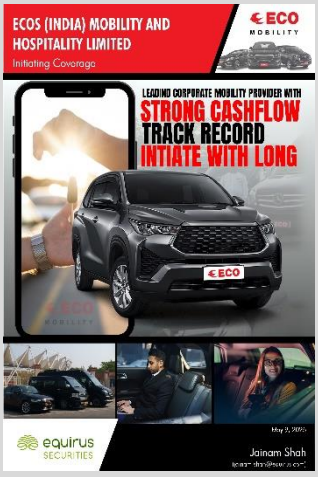

AVALON TECHNOLOGIES

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Lumax Auto Technologies

A rising content per vehicle story – multiple growth levers ahead – Initiate with LONG

CMP	Target Price
Rs 1,163	Rs 1,520 Mar 2027
Rating	**Upside**
LONG	31% (↑)

- Lumax Auto Technologies (LMAX) is a leading Indian auto component manufacturer, supplying OEMs and the aftermarket with diversified products across lighting, gear shifters, interior systems, and emission solutions. Its growth and innovation are backed by multiple JVs and technology alliances with leading global auto ancillary players.
- LMAX posted a Sales/EBITDA/PAT CAGR of 21%/27%/20% over FY19-FY25, outpacing most peers, led by value-accretive acquisitions (IAC, Greenfuel) and high-growth JVs (Mannoh, Cornaglia) – boosting content per vehicle (CPV) and EBITDA margins.
- We initiate coverage on LMAX with LONG, highlighting its transformation from a component maker to a system supplier. We forecast a 16%/20%/29% revenue/ EBITDA/PAT CAGR over FY25-FY28E driven by CPV gains across subsidiaries through premiumisation, new product additions, and stricter emission norms. We value the stock at 27x Mar'28 EPS, implying a Mar'27 TP of Rs 1,520.

Stock Information	
Market Cap (Rs Mn)	79,267
52 Wk H/L (Rs)	1,338/449
Avg Daily Volume (1yr)	2,91,237
Avg Daily Value (Rs Mn)	3.3
Equity Cap (Rs Mn)	9,347
Face Value (Rs)	2
Share Outstanding (Mn)	68.2
Bloomberg Code	LMAX IN
Ind Benchmark	BSEAUTO

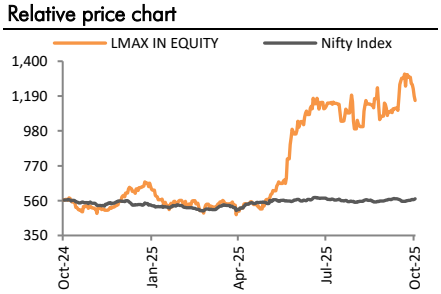
Ownership (%)	Recent	3M	12M
Promoters	56.0	0.0	0.0
DII	16.3	0.2	0.5
FII	7.0	1.7	0.1
Public	20.7	(1.9)	(0.6)

Rising content per vehicle powers transition to a system supplier: Over the last two years, LMAX has significantly increased its CPV, driven by strategic acquisitions and deeper product penetration. Acquisitions of IAC and Greenfuel expanded its presence into premium PV interiors and CNG systems, respectively – broadening capabilities and raising content value. Meanwhile, Lumax Mannoh and Cornaglia have delivered strong growth, supported by rising automatic transmission adoption and BS-VI–led product upgrades. Together, these initiatives have transformed LMAX from a 2W-focused component supplier into a diversified system provider with a growing PV footprint. Its five emerging JVs are also poised for rapid scale-up as their technologies gain traction across OEM platforms.

Profitable growth led by right-priced acquisitions and mix gains: Financial outperformance has been fuelled by strategic acquisitions and favourable industry trends across key product segments. The acquisitions of IAC and Greenfuel at attractive ~9x and ~7x P/E valuations – well below the sector average of 21-22x – enabled strong PAT growth alongside sales expansion. The higher-margin profiles of these businesses, along with robust growth in JVs such as Lumax Mannoh and Cornaglia, further boosted profitability. Consolidated EBITDA margins improved ~400bps over FY19-FY25, and we expect another ~120bps expansion over FY25-FY28E, with better mix and margin gains in key product segments.

Leverage-led expansion; FCF recovery to drive balance sheet strength: Historically debt-free, LMAX raised leverage to fund recent acquisitions, leading to a sharp rise in net debt. The planned purchase of the remaining 25% stake in IAC India for Rs 2.21bn will further increase debt in FY26E, temporarily pressuring FCFF. From FY27E, with no major acquisitions and normalized annual capex of ~Rs 2bn, free cash flow is expected to recover, driving steady deleveraging. The debt-to-equity ratio, currently 0.8x, is projected to decline to 0.4x by FY28E.

Relative price chart



Source: Bloomberg

Financial Summary

YE Mar Rs mn	Sales	EBITDA	Recurring PAT	EPS (Rs)	P/E (x)	P/B (x)	EV/ EBITDA (x)	ROE (%)	Core ROIC (%)	EBITDA Margin (%)
FY25A	36,367	4,648	1,778	26.1	44.6	8.5	18.5	15.4	14.9	12.8
FY26E	43,794	5,767	2,383	35.0	33.3	7.0	15.3	18.6	15.7	13.2
FY27E	49,945	6,900	3,065	45.0	25.9	5.7	12.6	21.5	17.0	13.8
FY28E	56,772	7,955	3,837	56.3	20.7	4.6	10.6	21.5	19.0	14.0

Source: Company, Equirus Securities

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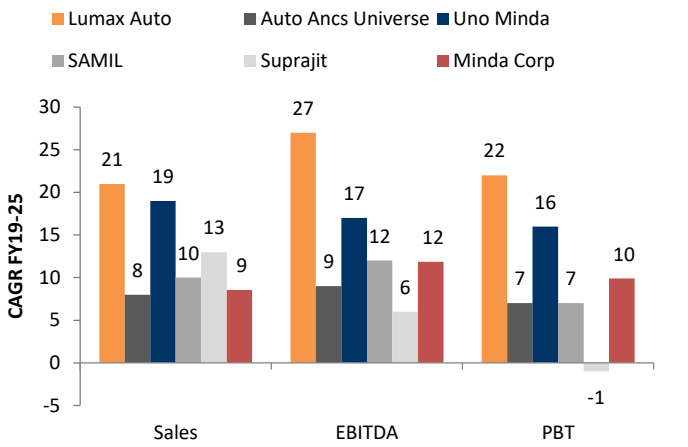
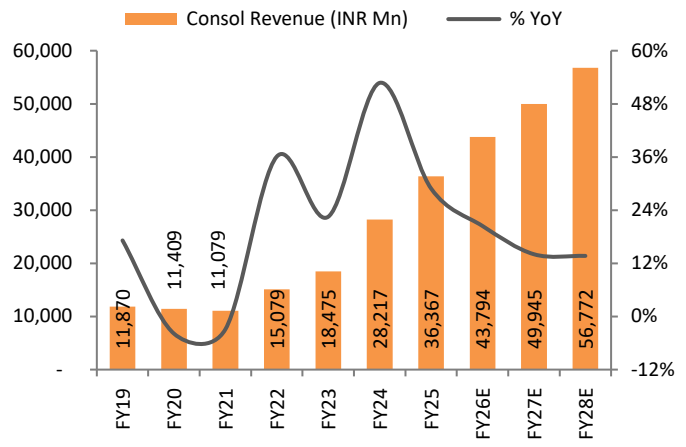
Story in Charts

Exhibit 1: LMAX has outperformed peers across key metrics…



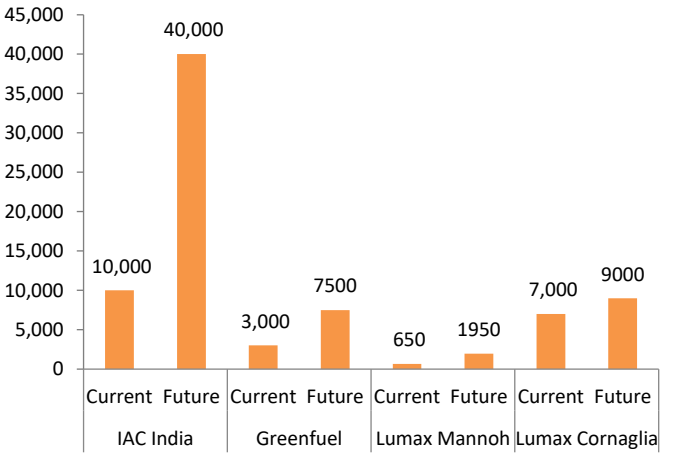
Source: Company, Equirus

Exhibit 2: …Expect momentum to continue



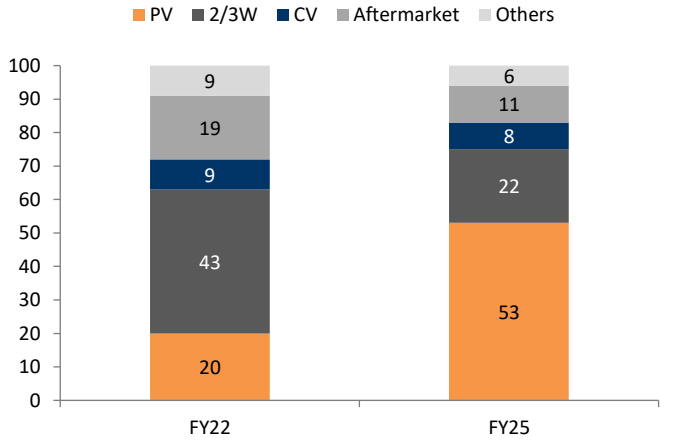
Source: Company, Equirus

Exhibit 3: Strong CPV tailwind across business



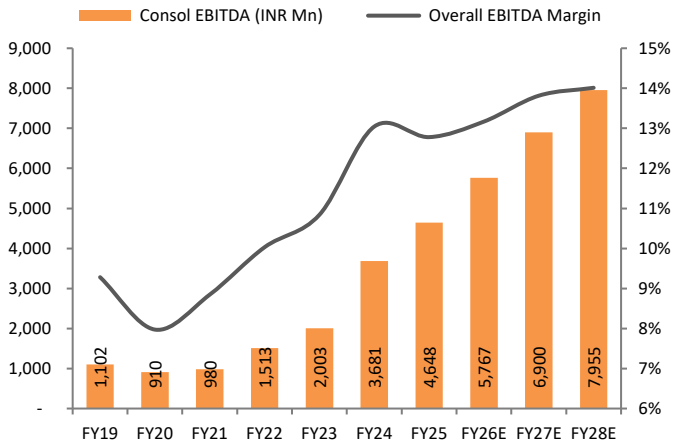
Source: Company, Equirus

Exhibit 4: Transitioned from a 2W to PV comp supplier



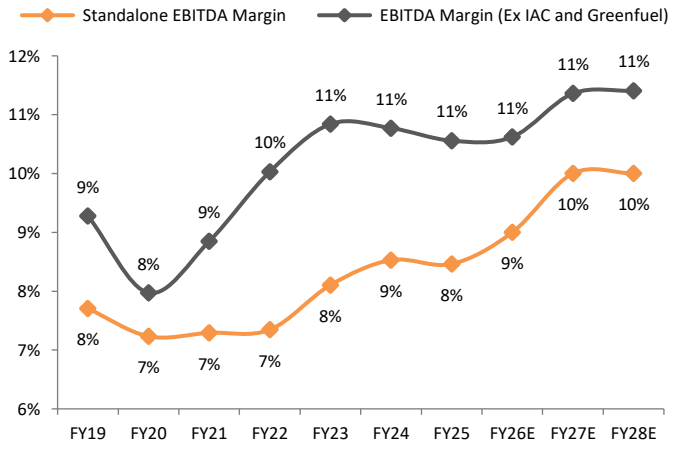
Source: Company, Equirus

Exhibit 5: EBITDA margin to expand by 120bps over FY25-28E



Source: Company, Equirus

Exhibit 6: Not only aided by IAC and Greenfuel



Source: Company, Equirus

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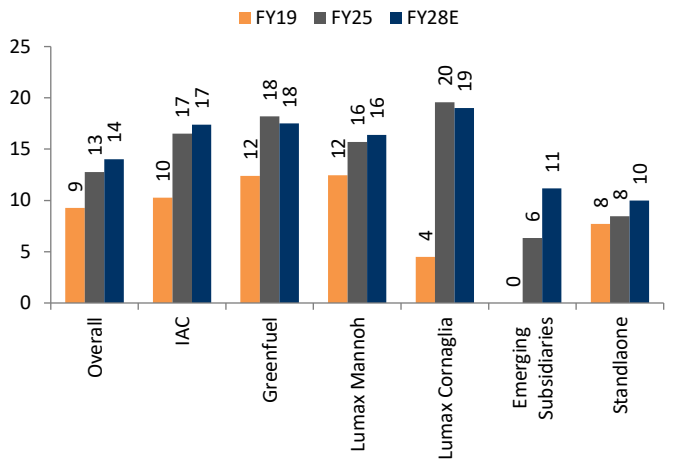
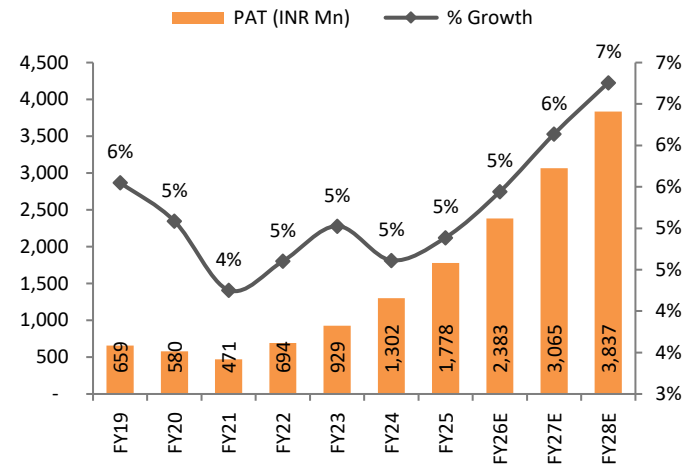
Exhibit 7: Emerging subsidiaries profitability to improve



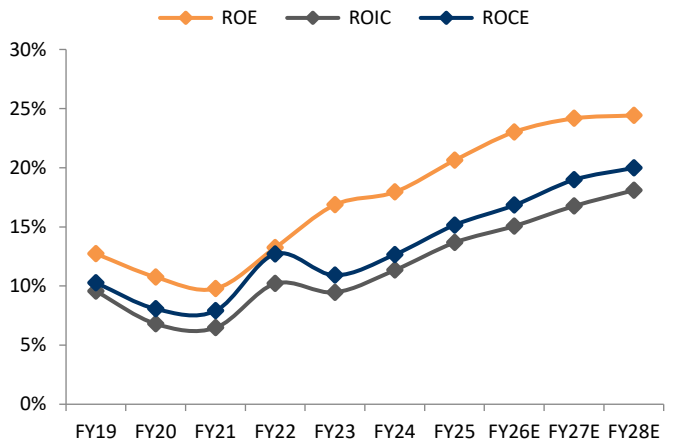
Source: Company, Equirus

Exhibit 8: Expect PAT CAGR of 29% over FY25-28E



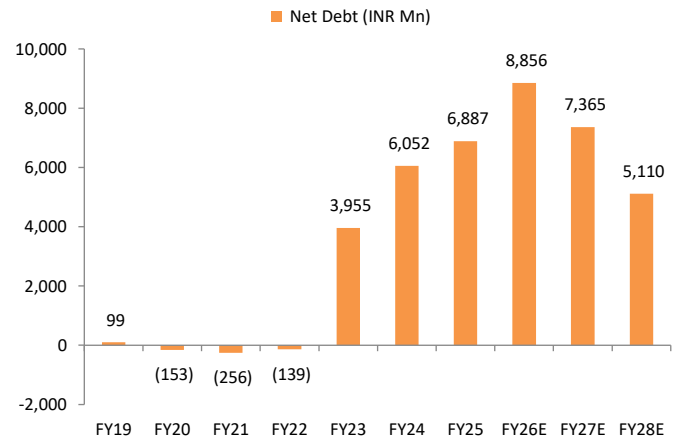
Source: Company, Equirus

Exhibit 9: Return Ratios to improve supported by limited investments



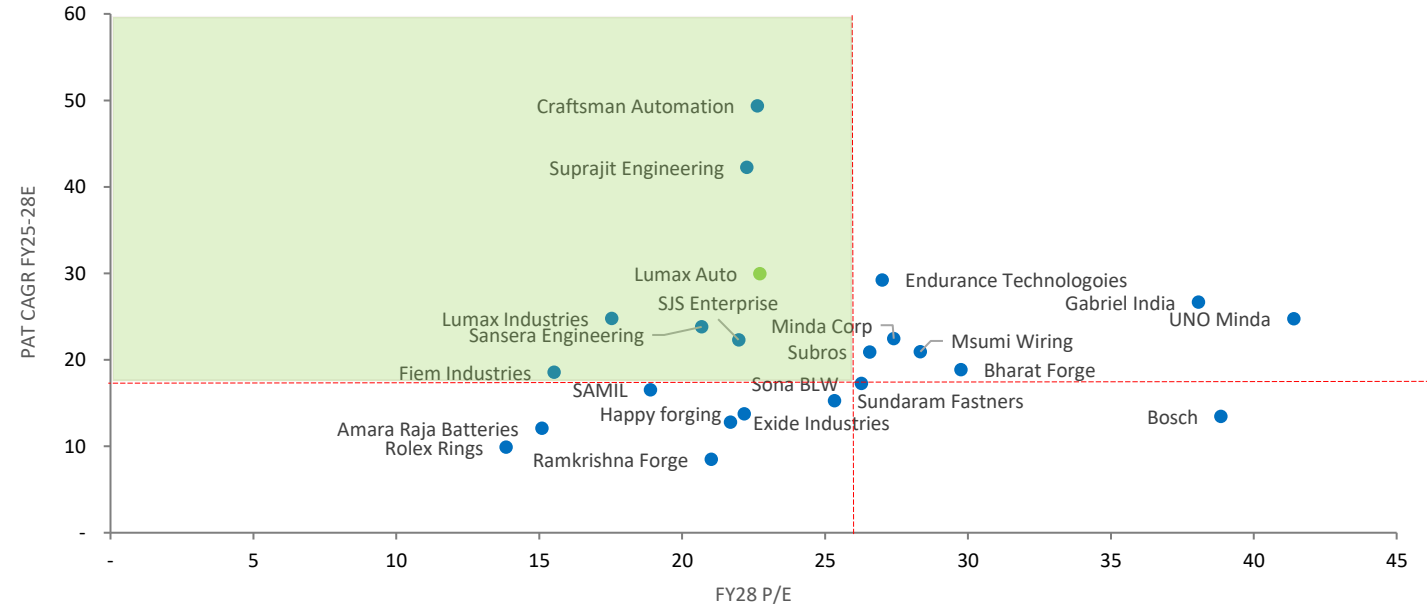
Source: Company, Equirus

Exhibit 10: Net Debt levels to improve aided by cash flow generation



Source: Company, Equirus

Exhibit 11: LMAX IN trades at 21x FY28E EPS, well-placed relative to peers delivering a similar FY25–28E PAT CAGR.



Source: Bloomberg, Equirus

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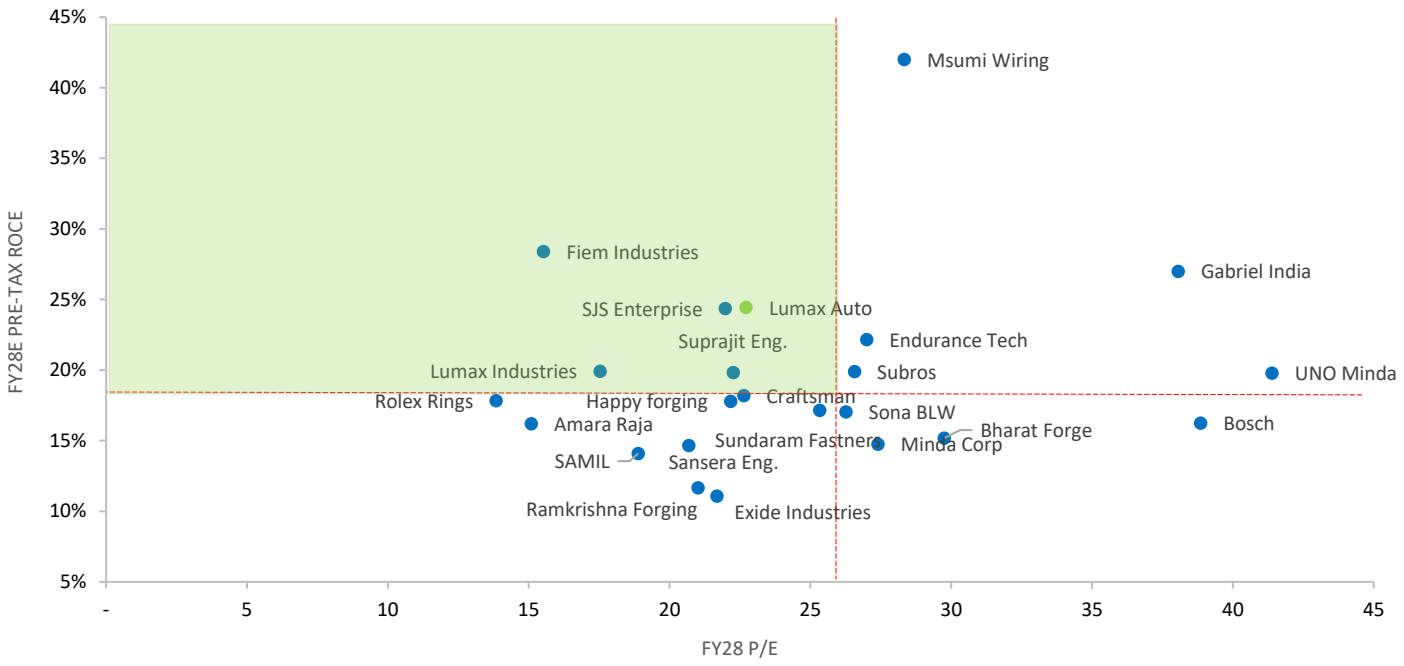
Exhibit 12: LMAX IN's FY28E ROCE is projected to outperform both industry and peer averages



Source: Bloomberg, Equirus

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Business Overview

Lumax Group

Diversified exposure across lighting, interiors and mechatronics

Rs 100bn revenue base across 16 entities and 42 plants

The Lumax Group (also known as the Lumax–DK Jain Group) is one of India's leading automotive component manufacturers, with a legacy dating back to 1945. Over the decades, the Group has become synonymous with automotive lighting, gear shifters, interior systems, and a broad range of mechatronic and electronic solutions for the automotive industry.

Today, the Group operates 42 manufacturing facilities and six design and engineering centres (four in India, two overseas in Taiwan and the Czech Republic), employing over 15,000 people.

The Group comprises 16 entities, with Lumax Industries (LIL) and Lumax Auto Technologies (LMAX) as its flagship listed companies. Its customer base includes nearly all leading automotive OEMs in India, underscoring strong industry linkages. The Group reported revenue of over Rs 100bn in FY25, reflecting its scale and entrenched market position. It is known for maintaining robust relationships with customers and has received numerous awards and recognitions for excellence in manufacturing, cost management, and technology.

Lumax Auto Technologies

Well-distributed capacity ensuring supply-chain proximity to OEMs

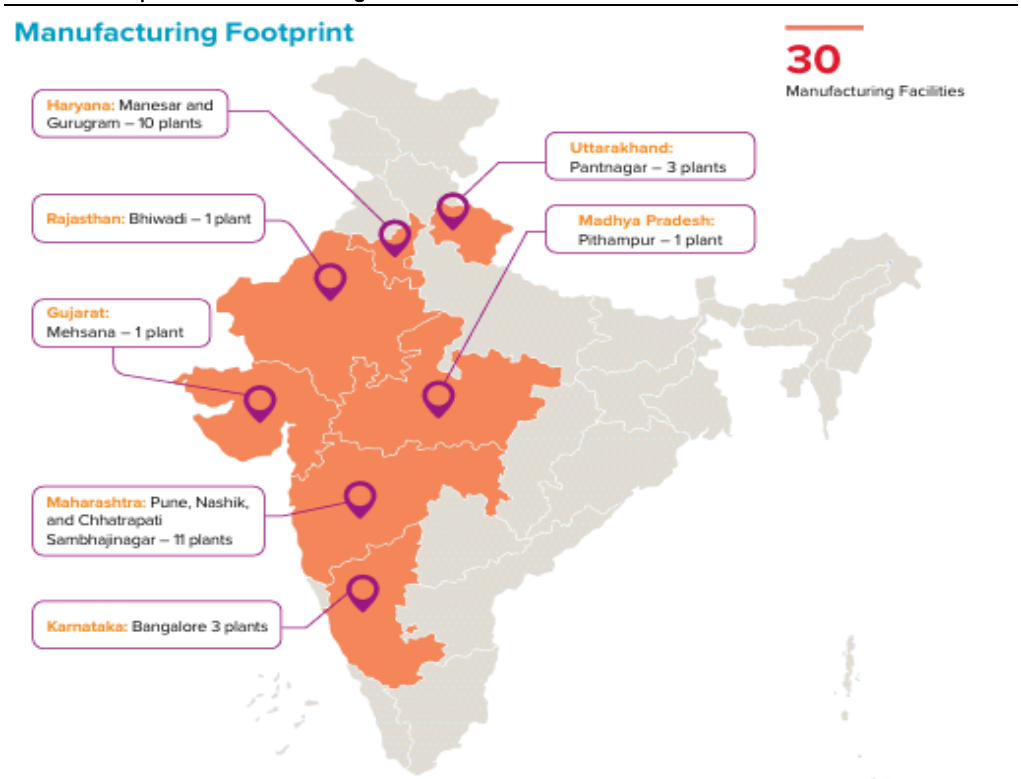
LMAX is a leading listed Indian auto-component manufacturer, established in 1981. The company maintains strong tier-I relationships with all major OEMs in India.

LMAX began operations with 2W lighting solutions and, over the past four decades, has expanded organically and through strategic JVs to become one of India's most diversified and technologically capable component suppliers.

The company operates 30 manufacturing facilities across Haryana, Gujarat, Madhya Pradesh, Maharashtra, Uttarakhand, Rajasthan, and Karnataka, enabling efficient supply-chain integration and proximity to key OEM customers.

30 manufacturing facilities across seven Indian states

Exhibit 13: Expansive manufacturing network



Source: Company, Equirus

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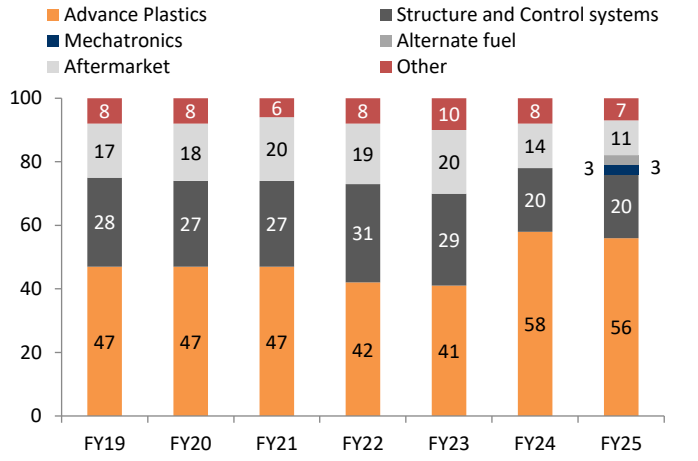
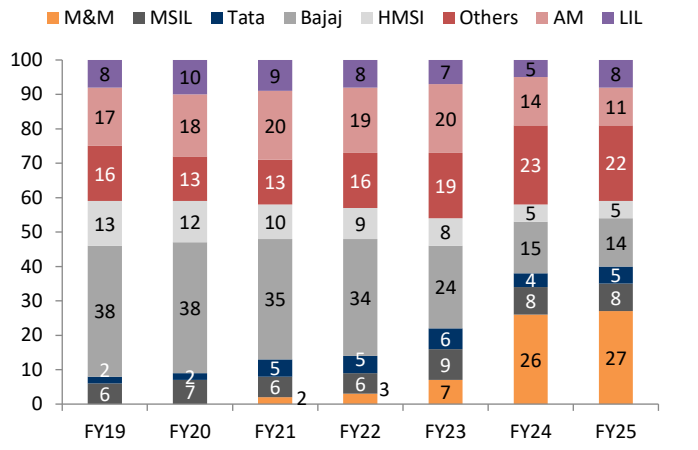
LMAX has long-standing partnerships with over 20 marquee clients in the automotive sector, offering innovative, tech-driven solutions. Its diversified product portfolio spans advanced plastics, mechatronics, structures and control systems, aftermarket solutions, and the recently added alternate fuels segment, catering to the industry's evolving needs.

Exhibit 14: Product-wise revenue (%)



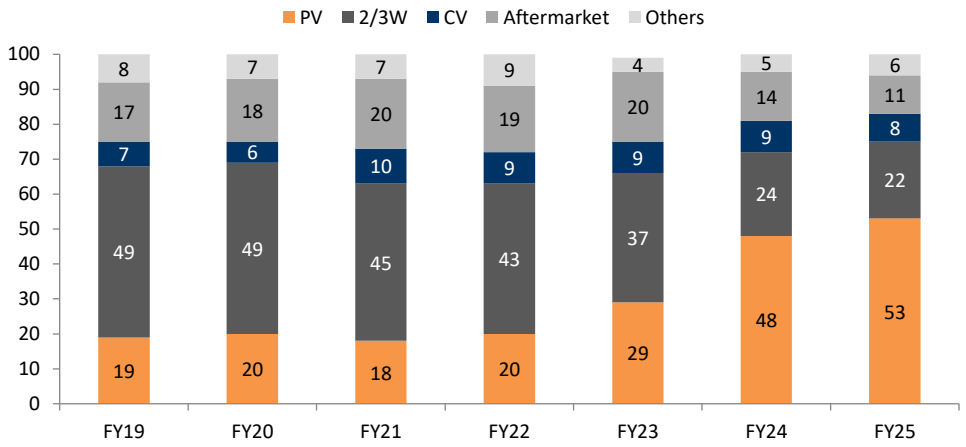
Source: *Company, Equirus*

Exhibit 15: Customer-wise revenue (%)



Source: *Company, Equirus*

Exhibit 16: Segment-wise revenue (%)



Source: *Company, Equirus*

The company has strengthened its market positioning through strategic alliances with global leaders such as Cornaglia, Mannoh, Ituran, FAE, JOPP, Alps Alpine, Yokowo, and IAC India. Its Lumax Cornaglia plant in Chakan (Pune) is the only facility in India that integrates 2D and 3D blow molding, injection molding, and rotational molding under one roof, enabling end-to-end plastic component manufacturing for automotive applications.

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Exhibit 17: Subsidiary Business Overview

Year	Subsidiary	Stake / Type	Business Area / Focus	Clients	Competitors
2007	Lumax Cornaglia	50%	Air filters, Plastic fuel tanks, Urea tank	Air Filters- 100% SOB with Tata Motors and VW, MG Motors Plastic fuel and DPF tanks- Tata Motors Other Mouldings- M&M	Mahle Anand Filter systems, SAMIL
2008	Lumax Mannoh	55%	Gear shifters	MSIL, Honda, M&M, Tata, CV OEMs	Kongsberg Automotive, Tata AutoComps
2017	Lumax Ituran	50%	Telematics products & services	Daimler India. Opportunity with Daimler Global as well	Uno Minda, Bosch, Black Box
2017	Lumax FAE	84%	Oxygen sensors	Royal Enfield	Pricol, Bosch, Denso, Pucheng Sensors
2019	Lumax Jopp	50%	Transmission products	M&M and MSIL	Kongsberg Automotive, EMMFORCE
2020	Lumax Yokowo	50%	Antennas & vehicle communication products	M&M, MSIL, Toyota and Honda	Minda Corp, Remsons Industries
2021	Lumax Alps Alpine	50%	Electric devices and components	MSIL	Continental, Bosch, Uno Minda, Aptiv, Hyundai Mobis, Infineon
2023	IAC India	100%	Vehicle interior systems & components	M&M, Volkswagen, MSIL and VECV	Krishna Maruti, Hyundai Mobis, Tata AutoComps, SJS, Motherson Sumi Wiring
2024	Greenfuel Energy	60%	Green & alternate fuels	MSIL, TATA Motors and VECV	Uno Minda. Majorly imported competitors

Source: Company, Equirus

Exhibit 18: Subsidiary Financial Overview

Year	Subsidiary	Stake	FY25 (INR in Mn)						FY25-FY28E Revenue CAGR
			Revenue	% of Consolidated Revenue	EBITDA	EBITDA Margin	PAT	% of Consolidated PAT Before MI	
2007	Lumax Cornaglia	50%	1670	4.59	326	19.5	180	7.8	8.3
2008	Lumax Mannoh	55%	3620	9.95	568	15.7	370	16.1	13.3
2017	Lumax Ituran	50%	330	0.91	40	12.1	10	0.4	9.3
2017	Lumax FAE	84%	110	0.30	10	9.1	-20	(0.9)	11.6
2019	Lumax Jopp	50%	120	0.33	-20	(16.6)	-30	(1.3)	71.1
2020	Lumax Yokowo	50%	210	0.58	-10	(4.7)	-30	(1.3)	46.5
2021	Lumax Alps Alpine	50%	490	1.35	60	12.2	30	1.3	12.3
2023	IAC India	100%	12180	33.49	2010	16.5	890	38.8	17.3
2024	Greenfuel Energy	60%	1100	3.02	200	18.1	120	5.2	64.9

Source: Company, Equirus

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Exhibit 19: LMAX: Key Milestones

Calendar Year	Particulars
1981	Lumax Auto Electricals was established to manufacture 2-wheeler Lighting at Bhosari, Maharashtra
1988	Name of the company was changed to Dhanesh Auto Electricals
1997	A Unit was setup in Waluj, Maharashtra, to manufacture Chassis
2002	Setup the Plant at Chakan, Maharashtra, to manufacture 2-wheeler Lighting
2006	Lumax DK Auto Industries became a 100% subsidiary. Name of the company was changed to Lumax Auto Technologies
2007	Setup Seat frame manufacturing plant in PCNTDA, Bhosari, MH. Listed on Stock Exchanges. JV company with Cornaglia, Italy started as Lumax Cornaglia Auto Technologies
2009	Entered a TA with Mannoh Industrial Company, Japan for manufacturing of Gear Shift Lever
2010	Setup a unit at Kala Amb, HP to manufacture diversified auto components for After Market
2011	Setup state-of-the-art Surface Mounted Technology unit in Manesar, Haryana
2012	Setup the first Robotic Motorcycle Chassis plant in Waluj, Maharashtra
2013	• Setup a plant at Narsapur, Karnataka, to manufacture Moulded parts • Formed JV with Gill-Austem LLC, USA to manufacture Seat frames & Mechanism
2014	Entered JV with Mannoh Industrial Company, Japan, and started Lumax Mannoh Allied Technologies
2015	Setup another Robotic Motorcycle Chassis plant in Waluj, Maharashtra
2017	LMAX and Francisco Albero S.A.U. (FAE), Spain formed a JV, Lumax FAE Technologies, to manufacture and supply Oxygen Sensors. LMAX and Ituran Location and Control, Israel formed a 50:50 JV, Lumax Ituran Telematics, to provide Telematics Solutions
2018	Setup R&D center under Lumax Cornaglia Technologies in Pune
2019	Inaugurated Chassis facility at Aurangabad. Entered JV with Jopp, Germany, to manufacture and supply Transmission products. Lumax Cornaglia Auto Technologies established a new plant in Pantnagar, Uttarakhand to manufacture and supply emission control products
2020	Entered JV with Yokowo, Japan, to manufacture & supply Antennas and other vehicle communication products
2021	Lumax Alps Alpine India, a JV with Alps Alpine Japan started commercial production to manufacture and sell electric devices and components, including software related to the Automotive industry
2022	Signed TA with IO Industry Co. Ltd, Japan for Kinematic Components.
2023	LMAX has signed an agreement to acquire majority stake in IAC International Automotive India from the International Automotive Components Group
2024	LMAX acquires 60% stake in Greenfuel Energy Solutions
2025	LMAX acquires remaining 25% stake in IAC India

Source: *Company, Equirus*

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Exhibit 20: Key Management Personnel

Name	Designation	Profile
Mr. D K Jain	Chairman	Mr. Dhanesh Kumar Jain holds an MBA degree from Delhi university & has successfully completed President Management Program from Harvard Business School. He has over 60 years of experience in the automotive industry in management, operations & administrative roles. Mr. Dhanesh was past president of ACMA and other prestigious positions in organizations.
Mr. Anmol Jain	Managing Director	Mr. Anmol Jain holds Bachelors in Business Administration in Finance & Supply Chain Management (Double Major) from Michigan State University, U.S.A. He has over 25 years of experience, started his career as a Management Trainee with GHSP, U.S.A. & subsequently, joined Lumax Group, in 2000. He has held various positions in industry associations.
Mr. Deepak Jain	Non-Executive Director	Mr. Deepak Jain is a Business Graduate from Illinois Institute of Technology, USA with specialization in Operations Management & International Business. He has over 25 years experience and has undergone extensive training at Stanley Co. Limited, U.S.A. & Stanley Electric Co. Limited, Japan. In the past, Mr. Deepak was the Chairman of CII Northern Region (NAB)and President of ACMA. He holds various positions in industry associations.
Mr. Sanjay Mehta	Non-Executive Director and Group CFO	Mr. Sanjay Mehta is a Chartered Accountant and Company Secretary by qualification and is associated with the D K Jain group since last 10 years. He is having wide and rich experience of over 3 decades in the Corporate Finance, Corporate strategy and expertise in implementing plans within time and budgeted goals.
Mr. Vikas Marwah	CEO	Mr. Vikas Marwah holds B. Com (Hons.) and an MBA and has rich experience of more than 30 years in Sales & Marketing, Strategic Planning, P&L Management, Change Management, M&A. He has wide exposure in a variety of Industries ranging from Cement, Tyres, Mobility services to Auto component industries. Previously worked with Varroc, Sona Koyo Steering Systems Ltd., ORIX Auto Infrastructure
Mr. Ankit Thakral	CFO	He is an MBA with 17 years of diverse professional experience in listed organisation(s) spearheading Monthly closing & reporting, Balance sheet finalization with Statutory Auditors, Treasury management, Working capital management & Investor Relations.
Mr. Pankaj Mahendru	Company Secretary	Mr. Pankaj Mahendru is a qualified Company Secretary and Law Graduate. He has total experience of 12 years in handling Secretarial, legal and compliance matters across various industries including the automotive industry. Mr. Pankaj has vast experience of working in Joint Venture culture and has always been pivotal in maintaining relationships with Joint Venture Partners.

Source: *Company, Equirus*

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Transformation in Motion – Multiple Growth Levers At Play

Industry-leading profitable growth with content expansion, strategic M&As

The acquisitions of IAC India and Greenfuel have been central to LMAX's financial outperformance, completed at attractive valuations and aligned with favourable PV industry trends. Together, these deals have strengthened LMAX's positioning across premium interior systems and clean mobility components.

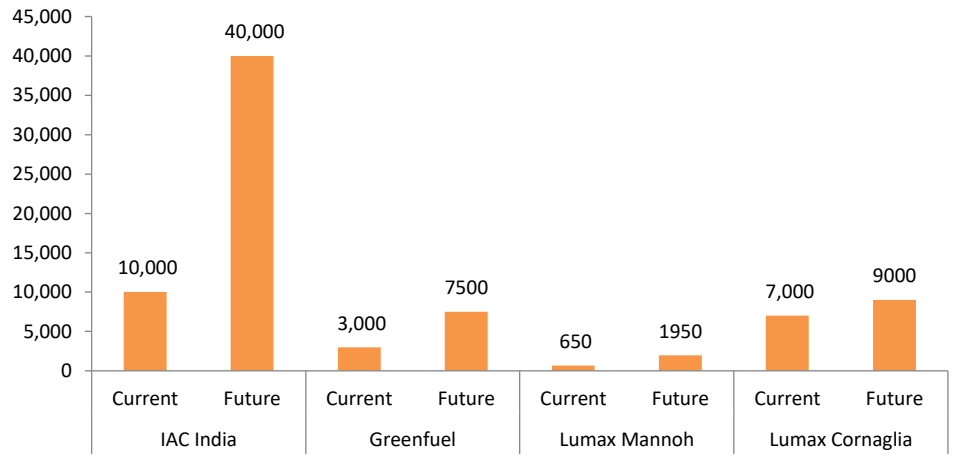
FY19-25 growth driven through value-accretive acquisitions (IAC, Greenfuel) and high-growth JVs (Mannoh, Cornaglia)

- **IAC acquisition (premium PV interiors)**: LMAX acquired a 75% stake in FY23 for Rs 4.4bn (~9x FY23 PAT) and the remaining 25% in FY25 for Rs 2.2bn (~10x FY25 P/E), valuing the company at ~Rs 9bn – a ~50% increase, consistent with operational growth. The acquisition enables LMAX to participate in the premiumisation of PV interiors, particularly in cockpit assemblies and door trims.
- **Greenfuel acquisition (CNG systems):** In FY25, LMAX acquired a 60% stake for Rs 1.5bn, valuing Greenfuel at Rs 2.6bn (~7x FY25 P/E). The deal offers exposure to rising CNG penetration in India.

Among existing JVs, Lumax Mannoh and Lumax Cornaglia have also delivered robust performance. Lumax Mannoh benefited from the rising share of automatic transmissions, with penetration increasing from 10-15% in FY19 to ~30% in FY25, and expected to reach ~50% by FY30E. Lumax Cornaglia, meanwhile, gained from BS6-driven demand for DPF tanks and premiumisation in air filter systems, supporting margin expansion and higher realisations.

Overall, these businesses are well positioned to benefit from continued vehicle premiumisation, driving revenue growth through higher CPV and improving profitability mix.

Exhibit 21: Strong CPV tailwind across businesses



Source: Company, Equirus

Margin-accretive shift towards higher-value product segments

Key Subsidiaries now operate at 16-20% margins vs ~10% historical margins of overall company, reflecting a stronger profitability mix

The acquisitions have not only accelerated LMAX's revenue growth but have fundamentally repositioned it within the automotive component landscape. Historically, LMAX was a two-wheeler supplier focused on plastic and metal parts. It has now evolved into a product and system supplier with a rising presence in the passenger vehicle (PV) segment. This strategic shift has broadened LMAX's technological capabilities, deepened OEM relationships, and positioned the company to capture higher-value opportunities in increasingly complex automotive systems.

Financially, the transformation has been highly accretive. The four key subsidiaries now operate at EBITDA margins of 16-20%, compared with the company's historical margin of ~10%, underscoring significant profitability improvement. As these businesses scale and benefit from favourable industry tailwinds – including premiumisation in interiors, greater adoption of advanced cockpit systems, and increasing electrification and connectivity – margin expansion is expected to continue. Over the medium term, this shift should meaningfully enhance LMAX's consolidated EBITDA and PAT, reducing its dependence on the traditional two-wheeler business and aligning growth more closely with high-value PV and systems segments.

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21% revenue CAGR over FY19–FY25 – well ahead of peers

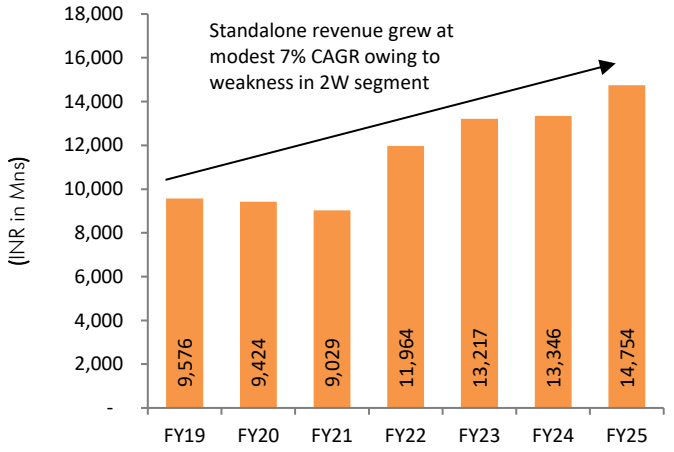
Between FY19-FY25, LMAX delivered a robust consolidated revenue CAGR of 21%, driven by ~12% growth in its core business and an additional ~9% from inorganic initiatives: the acquisitions of IAC India (Feb'23) and Greenfuel (Nov'24). This lifted consolidated revenue from Rs 11.9bn in FY19 to Rs 36.4bn in FY25.

PBT trends confirm acquisitions added profit, not just scale

Standalone operations recorded a modest 7% CAGR, constrained by weakness in 2W and CV segments and limited new product introductions.

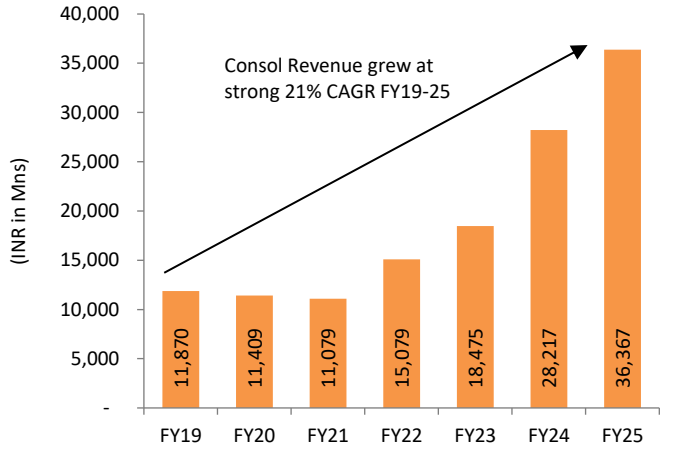
LMAX's 21% CAGR far outpaced the listed auto-ancillaries universe, which reported ~8% growth over the same period. Among peers pursuing inorganic expansion, Uno Minda, SAMIL, Minda Corp and Suprajit reported CAGRs of 19%, 10%, 9% and 13%, respectively. Importantly, profit before tax (PBT) – a more appropriate measure to assess the impact of acquisitions, as it captures interest costs and other income – shows that LMAX's recent acquisitions have been profitability-accretive, setting it apart from peers.

Exhibit 22: Modest standalone growth…



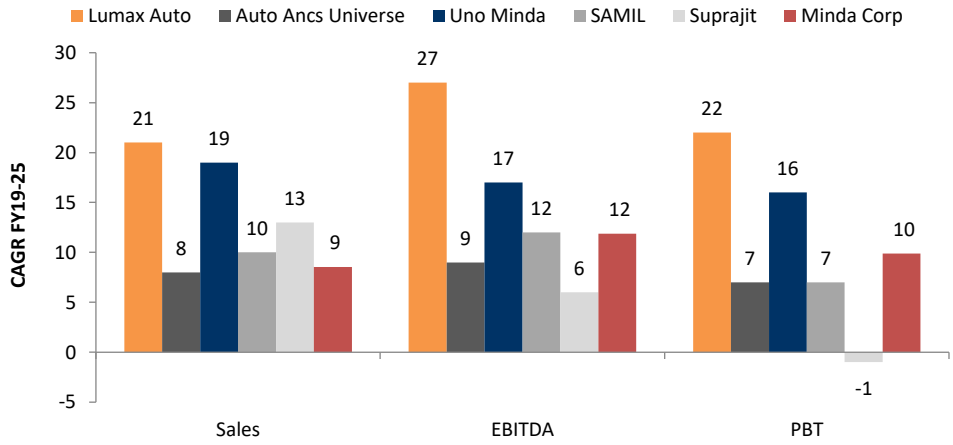
Source: Company, Equirus

Exhibit 23: …offset by strong subsidiaries performance



Source: Company, Equirus

Exhibit 24: LMAX outperformed peers across major metrics



Source: Company, Equirus

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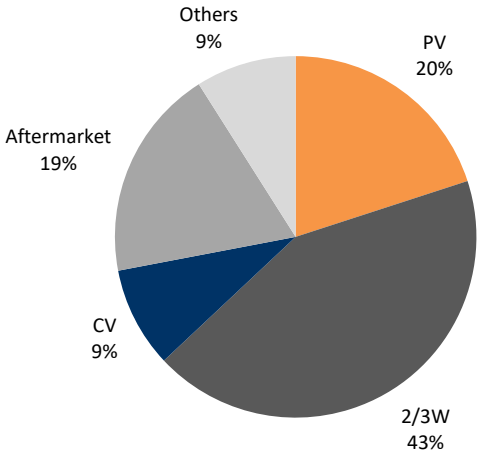
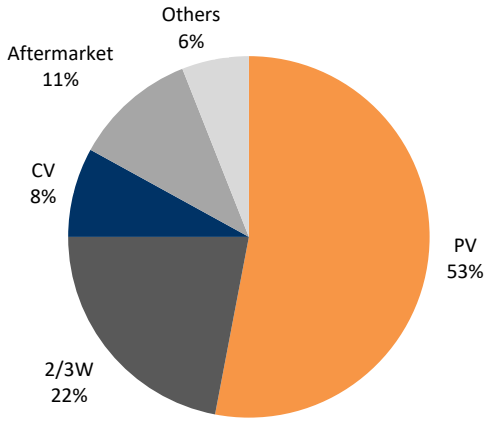
Exhibit 25: Predominant 2/3W component company…



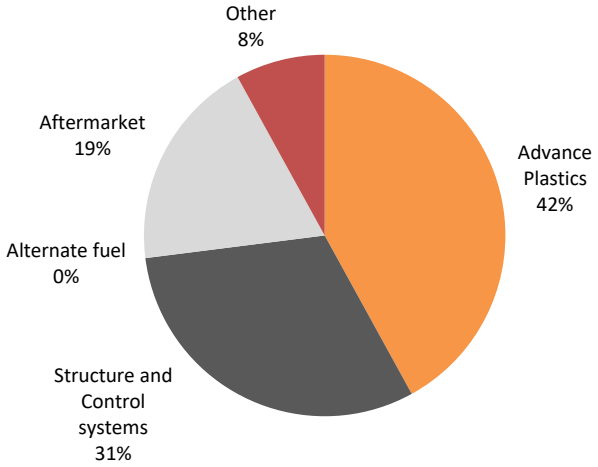
Source: Company, Equirus

Exhibit 26: …Transitioned to a PV component company



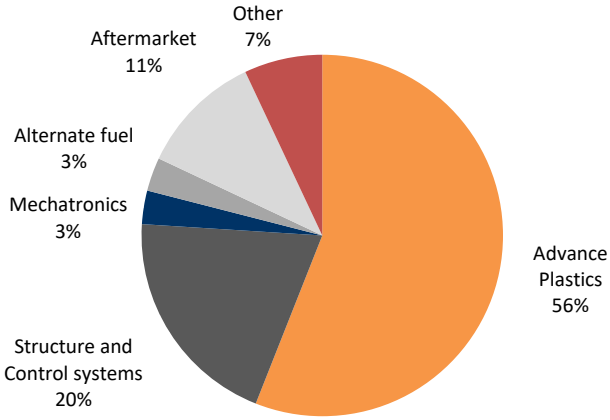
Source: Company, Equirus

Exhibit 27: Advance plastics continues to be dominant…



Source: Company, Equirus

Exhibit 28: …mechatronics and Alt fuel gradually picking up



Source: Company, Equirus

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IAC acquisition drives premiumisation-led content growth in 4W interiors

IAC India, established in 2008, was set up to serve key US clients such as GM and Ford, supplying interior plastic components including dashboards, door trims, and headliners. Its parent, the IAC Group, is a US$ 4bn global supplier with operations across Europe, the US, and Asia, catering to leading OEMs such as GM, Mercedes-Benz, Volkswagen, and others.

The IAC acquisition transformed LMAX from a component supplier into a full system provider

Over the past 15 years, IAC India has developed a strong domestic customer base, supplying to M&M, Maruti Suzuki (MSIL), and Volvo Eicher, which has helped partly offset the exit of GM and Ford from the Indian market. Following the withdrawal of its anchor clients, the IAC Group had been seeking to divest its Indian operations, creating the acquisition opportunity for LMAX.

Exhibit 29: Simple cockpit…

Source: *M&M, Equirus*

Exhibit 30: …BE6 cockpit

Source: *M&M, Equirus*

Acquisition drives sharp scale-up in PV segment

At present, ~70% of IAC India's revenue comes from M&M, with the balance contributed by MSIL, Volkswagen, and Volvo Eicher. Over time, IAC India built a strong relationship with M&M, but further expansion required a local partner with deep OEM relationships and on-ground execution strength. LMAX provided the ideal platform, combining its extensive domestic OEM network with IAC's global design and technical expertise.

PV mix up from ~20% to 50%+ in FY25

IAC's superior EBITDA margins enhance overall profitability

The acquisition transformed LMAX's business mix, increasing the PV segment's contribution from ~20% earlier to over 50% in FY25. Besides, it has structurally improved both growth and margin profiles, as M&M's volumes have outpaced the broader industry, enabling robust revenue growth for LMAX.

At acquisition, IAC operated at 13-14% EBITDA margins vs. LMAX's 10-11%, thereby enhancing consolidated profitability. In May'25, LMAX acquired the remaining 25% stake in IAC India at an attractive valuation of ~10x FY25 PAT, making it a wholly owned subsidiary.

Dominant M&M wallet share with rising traction at other OEMs

Seven-model BEV pipeline at M&M and new Tata programs provide growth visibility

IAC enjoys a strong relationship with M&M, holding a 90-95% wallet share in cockpits and door panels. M&M's expanding SUV portfolio and aggressive BEV pipeline – at least seven new models planned over the next five years – offer a strong growth runway for IAC.

At the same time, IAC is broadening its OEM base. It recently secured orders from Tata Motors for ambient lighting and interior plastics (SOP: H2FY26) and is progressing in discussions with MSIL, where it already supplies select programs and is now engaged in full design-level collaborations. These new programs should gradually diversify the customer mix and strengthen revenue visibility.

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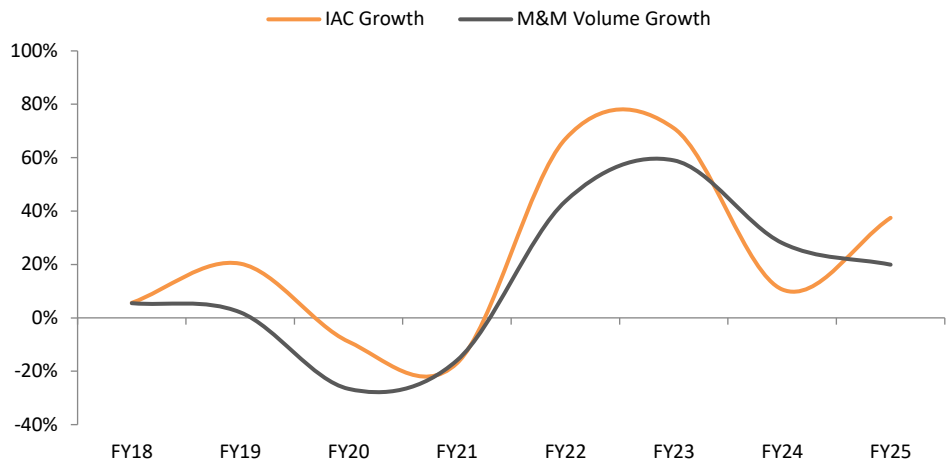
Exhibit 31: IAC's strong performance mirrors M&M's PV volume growth



Source: SIAM, Company, Equirus

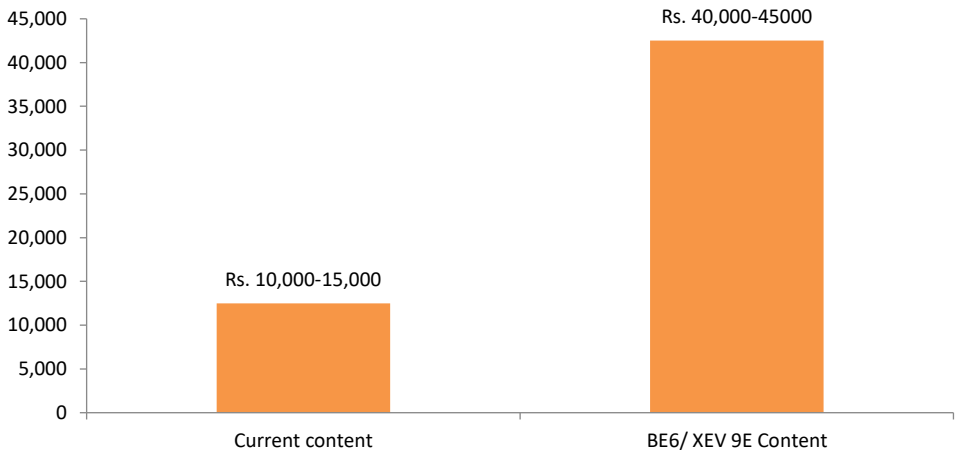
Soft-touch, ambient lighting and virtual cockpits boost CPV

IAC's business is closely aligned with the premiumisation trend in the Indian PV industry, where OEMs are integrating advanced interior technologies such as soft-touch materials, ambient lighting, and virtual cockpits. Rather than focusing on higher volumes, IAC is enhancing the technological and aesthetic sophistication of automotive interiors – spanning instrument panels, cockpits, door trims, soft-touch materials, and ambient lighting modules – that now contribute meaningfully higher value per vehicle.

Over the years, IAC has evolved from a basic trim supplier to a full-system provider of integrated cockpit and dashboard assemblies, resulting in a sharp rise in content per vehicle – from Rs 10,000–15,000 earlier to Rs 40,000–45,000 in M&M's recent BEV launches. With upcoming model upgrades, the kit value is expected to increase further as human–machine interface (HMI) solutions gain traction.

Transition from basic trims to full-system cockpits driving higher CPV

Exhibit 32: Content to increase more than 3x driven by premiumisation



Source: Company, Equirus

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Complexity, customisation, and control: Why IAC's higher SOB with M&M is secured

The process undertaken by IAC are complex and intricate, leading to customer dependence

IAC maintains ~90% SOB with M&M for integrated cockpit systems and door trims, with involvement spanning from early design stages to final assembly. For MSIL, IAC supplies dashboard and door trim components, but MSIL undertakes assembly in-house.

Globally, automakers typically outsource cockpit assembly to suppliers to streamline operations, logistics, and inventory management. However, Japanese OEMs often prefer in-house assembly of visible interior parts to ensure tight control over perceived quality and reliability.

The decision to assemble in-house or outsource also depends on the OEM's SKU complexity. M&M and Tata Motors offer multiple variants per model, resulting in frequent design updates and part changes, which make in-house cockpit management cumbersome – particularly as the cockpit system is the vehicle's most complex module, comprising 70-150 parts (more in premium models). In contrast, MSIL typically offers only 3-5 variants per model, allowing easier in-house control. Consequently, M&M and Tata Motors have fully outsourced cockpit assembly – to IAC and Tata Autocomp, respectively – while MSIL continues in-house assembly, sourcing components from IAC and Krishna Maruti.

Exhibit 33: Major components in a cockpit system

Sub-Module	Typical Components / Parts	Approx. Part Count
Instrument Panel Structure	Cross-car beam, support brackets, carrier frame	10–15
Dashboard Panel & Fascia	Dashboard shell, top cover, lower panel	5–10
HVAC Unit & Ducting	Heater core, blower, ducts, vents	8–12
Steering Column & Mounts	Steering column housing, tilt/telescopic mechanism	5–8
Glove Box & Storage	Glove box lid, lock, hinges, inner liner	4–6
Airbag System	Driver airbag, passenger airbag, sensors, housings	5–10
Instrument Cluster / Displays	Speedometer, tachometer, infotainment screen, digital cluster	5–10
Center Console Components	Climate control panel, switches, infotainment controls, bezels	8–12
Wiring Harnesses & Electronic Modules	ECU, connectors, harness clips	15–25
Trim & Finishing Panels	Decorative panels, bezels, covers, inserts	10–20

Source: Industry, Equirus

Cockpit sophistication makes M&M's switch from IAC unlikely: Manufacturing of a complete cockpit system involves 30–35 complex processes, from building the structural framework to integrating critical components (airbags, instrument clusters, displays). These stages require advanced manufacturing techniques, including precision moulding, laser welding, and rigorous functional testing.

With the rising adoption of electronic features – such as multiple displays, ADAS modules, and ambient lighting – the assembly process has become increasingly critical, as even a minor error can trigger multiple system malfunctions. IAC's plant, located near M&M, enables it to efficiently meet JIT delivery requirements, ensuring seamless production continuity. Consequently, IAC has become a vital partner for M&M, with the OEM relying heavily on its expertise and process precision for complex cockpit system deliveries.

Given this high degree of technical complexity, OEMs cannot easily switch suppliers, as developing design and manufacturing synchronisation takes years. As vehicle interiors grow more sophisticated with advanced features and intricate designs, OEMs' dependence on specialised suppliers like IAC for both design integration and manufacturing excellence is expected to deepen further.

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Greenfuel strengthens clean-fuel portfolio with scalable opportunity

CNG penetration increasing at a strong pace driven by savings in operational costs

LMAX's acquisition of a 60% stake in Greenfuel Energy Solutions marks a strategic entry into the fast-growing clean and alternate fuels segment, spanning CNG, hydrogen, and advanced fuel delivery technologies. Greenfuel is a leading supplier of high-pressure fuel delivery and storage systems – primarily for CNG and hydrogen vehicles – as well as fire and smoke detection and suppression systems. The company serves key OEMs including Maruti Suzuki (~45% of revenue), Tata Motors (~20%), and Volvo Eicher Commercial Vehicles (~13%).

Structural CNG shift creates long-term growth runway for Greenfuel

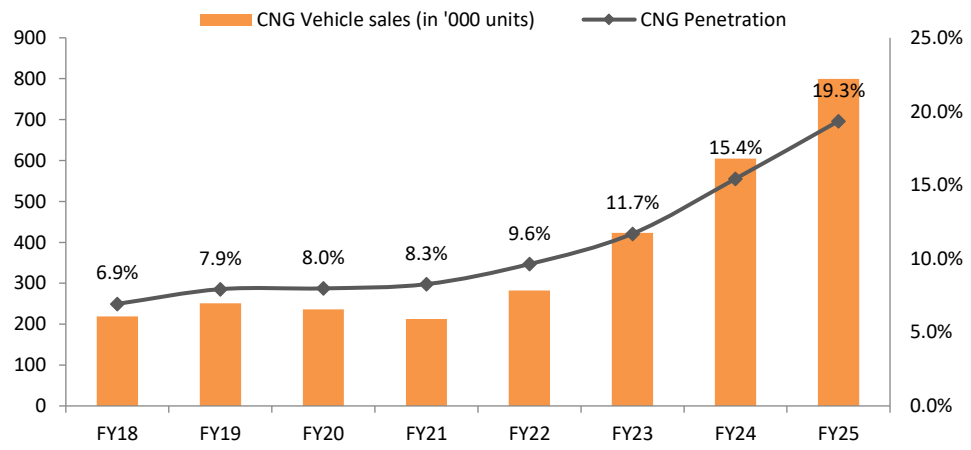
The Indian CNG PV market has expanded nearly fourfold over the past seven years, with penetration rising from 6.9% in FY18 to 19.3% in FY25. This growth has been supported by OEMs broadening their CNG portfolios and a rapid expansion of refuelling infrastructure across key urban clusters.

Looking ahead, CNG penetration is expected to increase further, driven by the government's focus on cleaner fuels, stringent emission regulations, and the continued rollout of CNG stations nationwide. In addition, CNG vehicles offer clear cost advantages, as running costs are roughly half that of petrol, translating into monthly savings of Rs 2,000-3,000 (Rs 24,000-36,000 annually) for typical users – offsetting the slightly higher upfront price over time.

Consumers also benefit from lower registration fees, road tax exemptions, and toll discounts in eco-friendly zones. This shift to cleaner, cost-efficient mobility provides a long growth runway for Greenfuel, which already has strong OEM relationships and a leading position in high-pressure CNG systems.

Exhibit 34: CNG penetration in passenger vehicle segment in India

CNG PV penetration up from 6.9% in FY18 to 19.3% in FY25 – a near fourfold volume surge



Source: Vahan, Equirus

Rising CPV to enhance profitability and earnings visibility

Greenfuel to see significant CPV improvement, driving revenue growth

Greenfuel operates at attractive EBITDA margins of around ~18% and has scope for further margin expansion through localisation. While the company has already localised a large share of its portfolio, nearly 50% of content is still imported, providing further margin upside as localisation increases. Currently, the addressable kit value in a CNG vehicle for Greenfuel is ~Rs. 15,000, of which Greenfuel used to supply content worth Rs. 3,500 per vehicle (~20–25% of addressable kit value). A significant growth trigger is the company's recent order win for tubes and fittings, which are being localised in India for the first time as OEMs previously relied entirely on imports. With this addition, Greenfuel's content per vehicle is set to more than double to ~INR 7,500 (~50% of the kit value). Greenfuel aims to secure additional orders from other OEMs for tubes and fittings.

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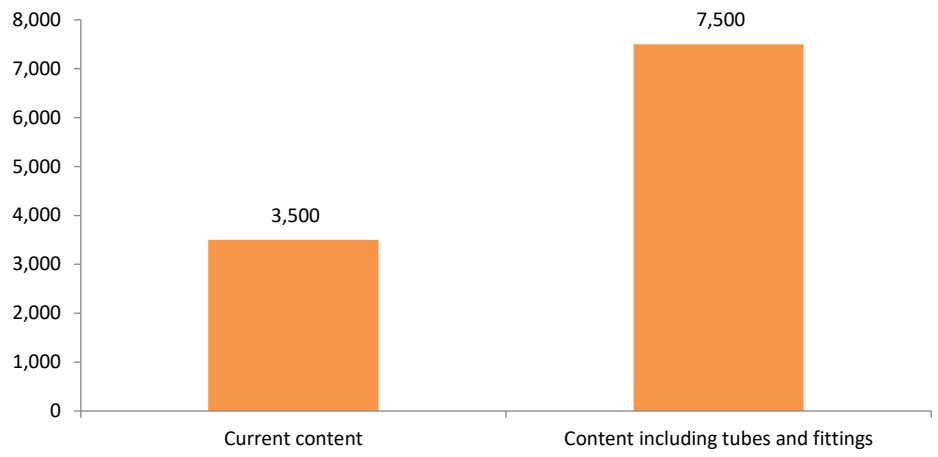
Exhibit 35: Greenfuel content to more than double with the introduction of tubes and fittings product



Source: Company, Equirus

Beyond OEMs, the aftermarket presents another growth lever for Greenfuel. The company has supplied around 2,000 CNG kits to Africa and sees significant expansion potential across other international markets for its aftermarket business.

Lumax Mannoh JV to benefit from rising automatic penetration

Automatic transmission shift offers structural growth tailwind

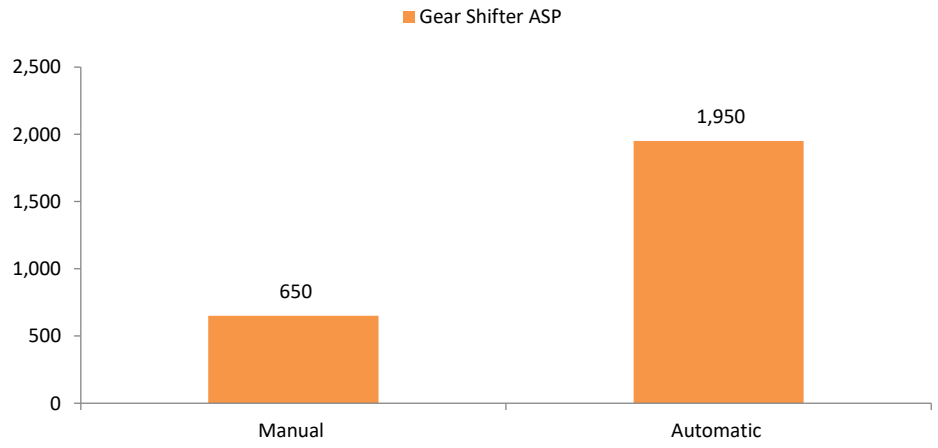
Lumax Mannoh Allied Technologies, a JV between LMAX and Japan's Mannoh Industrial Co., is a market leader in gear shifters and a key beneficiary of India's accelerating transition from manual to automatic transmissions. It manufactures a critical range of products, including gear shift levers for manual, AMT, CVT, and DCT systems, along with spare wheel carriers and forged cutting components.

Content increases ~3x from manual gear shift to automatic gear shifter

Its customer base includes marquee OEMs such as MSIL, M&M, Toyota, Tata Motors, Honda, and Daimler, with Lumax Mannoh commanding an estimated 60% market share in the gear shifter segment.

The rising preference for automatic transmissions is proving transformational, as automatic gear shifters command a realization of Rs 1,950 per vehicle – nearly three times higher than manual shifters (Rs 650). This structural shift materially enhances revenue visibility and long-term growth prospects for Lumax Mannoh.

Exhibit 36: Gear shifter – realisations per vehicle



Source: Company, Equirus

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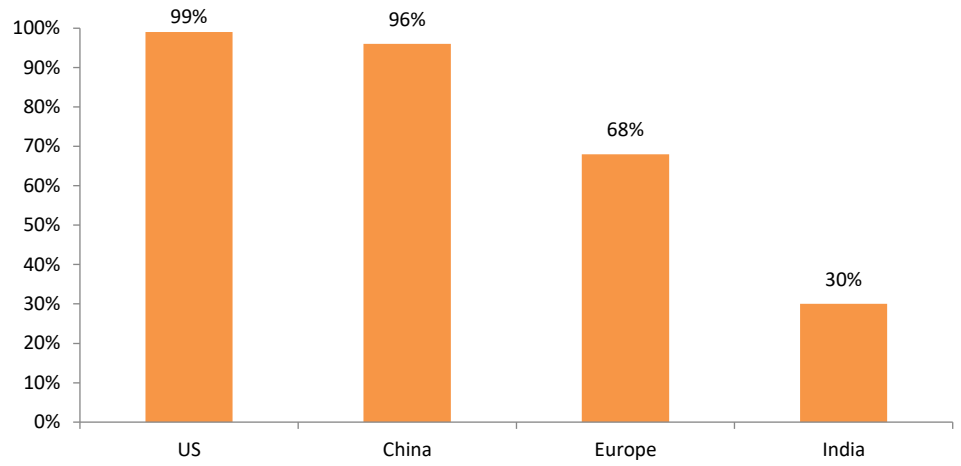
Automatic penetration in India to reach ~50% by FY30, widening addressable market

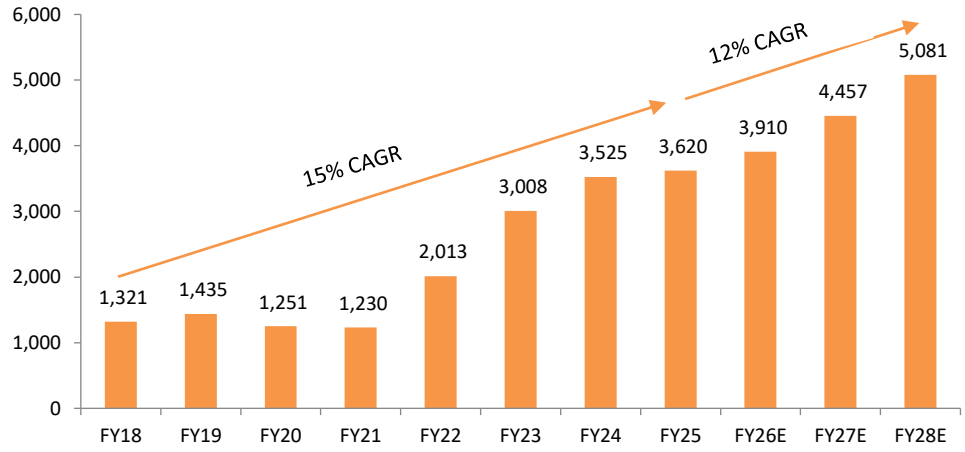
Automatic transmission penetration in India has increased from 14% in FY19 to 30% in FY25 and is expected to climb further to ~50% by FY30, approaching global benchmarks of ~99% in the US, ~96% in China, and ~68% in Europe. Against this backdrop, Lumax Mannoh's revenue is projected to grow at a robust ~12% CAGR, rising from Rs 3.6bn in FY25 to over Rs 5.1bn by FY28.

Exhibit 37: Penetration of Automatic transmission



Source: Industry, Equirus

Exhibit 38: Lumax Mannoh Allied Technologies revenue growth



Source: Company, Equirus

In-house design strength and Mannoh expertise drive technological moat

Lumax Mannoh's edge lies in Mannoh's advanced Japanese engineering expertise, which ensures high-precision, durable components critical to powertrain efficiency and safety. With three manufacturing plants and strong OEM partnerships, Lumax Mannoh is well positioned to benefit from increasing OEM outsourcing, as automakers seek high-quality, cost-efficient, and localised suppliers.

Developed India's first localised AMT and DCT gear shifters for Tata Motors

Beyond scale, Lumax Mannoh is steadily moving up the value chain through technology-led innovation. It has developed India's first localised AMT and DCT gear shifters for Tata Motors, underscoring its ability to introduce advanced, premium products tailored to OEM requirements. Its in-house design, testing, and engineering capabilities – backed by Mannoh's technical expertise – enable faster customisation, reduce import dependence, and support the transition from commodity parts to complex, high-value components.

With the industry's clear shift towards premiumisation and advanced transmission systems, Lumax Mannoh is poised to remain a key structural growth driver within LMAX's portfolio.

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Emerging subsidiaries: A robust growth platform

LMAX has strategically established five emerging subsidiaries—Lumax JOPP, Lumax FAE, Lumax Ituran, Lumax Yokowo, and Lumax Alps Alpine—to capture high-growth opportunities in the automotive sector. LMAX holds a 50% stake in all subsidiaries, except Lumax FAE, where it holds 84%, with the remaining stake held by the respective international JV partners. These subsidiaries are increasingly winning orders from marquee clients such as Maruti Suzuki, Daimler India, and Toyota India, while also engaging with Tata Motors and M&M for new business. The mid-term strategy focuses on localizing existing products, expanding the product portfolio, and introducing new products from international partners, leveraging India as a cost-competitive production hub.

Lumax Alps Alpine, a 50:50 JV established in FY22, currently assembles power window switches for Maruti Suzuki and plans to localize these products, expand its switch portfolio, and introduce sensors and in-vehicle infotainment systems. The company aims to make India a global production base, with a single global product capable of generating ~Rs 2bn in revenue. Sensor demand is expected to grow sharply in India due to safety regulations, mandatory reverse parking assist, and increasing adoption of ADAS systems, with competitors including Continental, Denso, Bosch, Hyundai Mobis, Aptiv, Infineon Technologies, and Minda Group.

Exhibit 39: Alps Alpine globally deals in multiple electronic products

Source: Company, Equirus

Lumax Ituran, a 50:50 JV established in FY18, provides fleet monitoring, driver behavior tracking, and theft prevention solutions. With a technically strong partner, supplying to even the Israel Air Force, the JV offers resilient, high-quality products. While the Indian telematics market is nascent (~Rs 20bn), it is expected to grow at 31% CAGR FY21-FY30, driven by connected vehicles, commercial fleets, insurance, and safety requirements. Lumax Ituran is expanding its product range with a focus on commercial vehicles and began supplying Daimler India in Q2FY24, competing with iTriangle, Teltonika, Bosch, UNO Minda, Atlanta, LG, Blackbox, Rosmerta, and Nippon.

Exhibit 40: Ituran is a leading player globally in tracking devices

Source: Company, Equirus

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Lumax JOPP, a 50:50 JV with Germany's JOPP, designs and produces gear shift towers, AMT kits, and gear sensors, complementing LMAX's existing gear shifter products to provide a full-system solution. The market for AMT kits and AGS is estimated at Rs 20bn, with LJAT targeting 20% market share (~Rs 4bn). The current order book stands at Rs 600mn, with major execution expected from FY26. Competitors include Kongsberg Automotive and EMMFORCE.

Exhibit 41: Monostable E-shifters

Source: Company, Equirus

Exhibit 42: Shift Tower

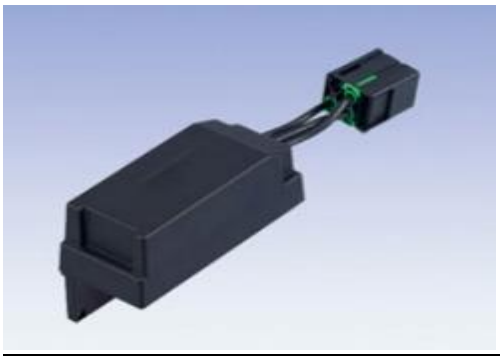
Source: Company, Equirus

Lumax Yokowo, a 50:50 JV established in FY20, produces advanced automotive antennas for connected, autonomous, shared, and electric mobility. The company manufactures for Toyota and is in discussions with multiple OEMs for new business. Despite being a relatively new venture, the order book is Rs 400mn, and the market is expected to expand as automotive technology evolves, with competitors including Bosch and Continental.

Exhibit 43: Shark fin antenna

Source: Company, Equirus

Exhibit 44: LF Antenna



Source: Company, Equirus

Lumax FAE, in which LMAX holds 84%, manufactures oxygen sensors for two-wheelers and was established ahead of mandatory regulatory implementation (BS6 Phase-2, April 2025). Oxygen sensors enhance fuel efficiency, maintain optimal air-fuel mixture, and improve engine longevity. With the upcoming regulation, the market opportunity is Rs 19.5bn, and LMAX expects the JV to generate ~Rs 3bn in revenue, supported by its technically strong partner. Key competitors include Pricol, Bosch, Denso, Delphi, Hyundai Kefico, NGK Spark Plugs, Pucheng Sensors, and United Automotive Electronic Systems.

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Exhibit 45: Oxygen sensors

Source: Company, Equirus

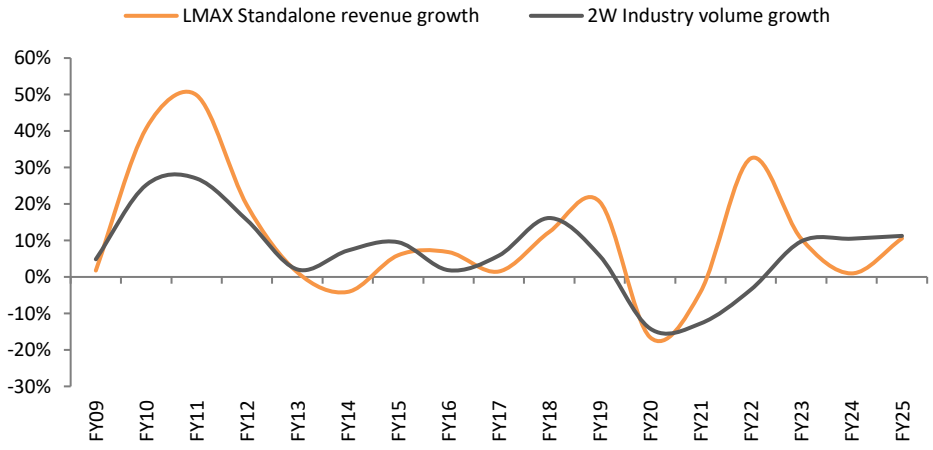
Overall, LMAX's emerging subsidiaries provide a robust growth platform, driven by technological collaboration with global partners, early-mover advantage in high-growth segments, regulatory tailwinds, and India's cost competitiveness. The combination of strong order pipelines, advanced technology adoption, and global production potential positions LMAX to achieve substantial revenue and margin expansion over the medium to long term.

Standalone operations to be supported by 2W industry growth

Standalone operation sees a decent correlation with the 2W industry volume growth

LMAX IN's standalone revenues have historically grown in line with 2W industry volumes, as most products consist of metal frames and plastic components supplied to customers like Bajaj Auto, HMSI, and Hero. Between FY19–FY25E, 2W volumes recorded moderate growth in both domestic and export markets. Domestic demand was constrained by affordability concerns, which extended vehicle replacement cycles, but growth is now returning, supported by a strong replacement base and recent GST cuts providing additional momentum. Bajaj Auto's exports were impacted by geopolitical challenges in key markets like Nigeria, which are expected to recover. Overall, 2W volumes are projected to grow 8–10% over the next three years, supporting LMAX IN's standalone revenue growth.

Exhibit 46: Standalone growth historically tracked 2W industry volumes



Source: SIAM, Company, Equirus

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Robust Financial Profile

Expect 16% revenue CAGR over FY25-FY28E

LMAX outpaces peers with industry-leading 21% CAGR over FY19-FY25

21% revenue CAGR over FY19–FY25 led by key subsidiaries performance

16% CAGR expected over FY25–FY28E driven by IAC, Greenfuel, and new subsidiaries

LMAX delivered a consolidated revenue CAGR of 21% over FY19–FY25, driven by ~12% CAGR in its core business and an additional ~9% from inorganic initiatives, namely the acquisitions of IAC India (Feb'23) and Greenfuel (Nov'24). This lifted revenue from Rs 11.9bn in FY19 to Rs 36.4bn in FY25. In contrast, standalone operations recorded a modest 7% CAGR, weighed down by weakness in the 2W and CV segments and limited new product introductions. The IAC acquisition also strengthened the advanced plastics division, whose contribution rose from 47% in FY19 to ~56% in FY25.

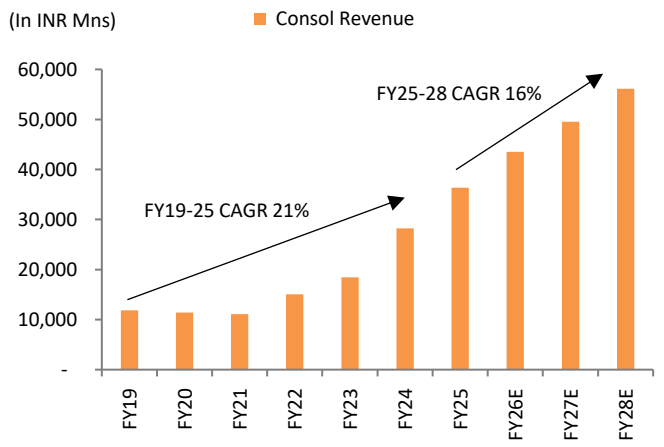
Strong JV execution fuels 12% core business CAGR

Between FY19-FY25, the core business delivered a 12% CAGR, largely supported by Lumax Mannoh and Lumax Cornaglia, which grew at 17% and 25% CAGR, respectively. This growth was led by higher content per vehicle, supported by premiumisation trends and stricter emission norms.

Multiple growth levers across established and emerging subsidiaries

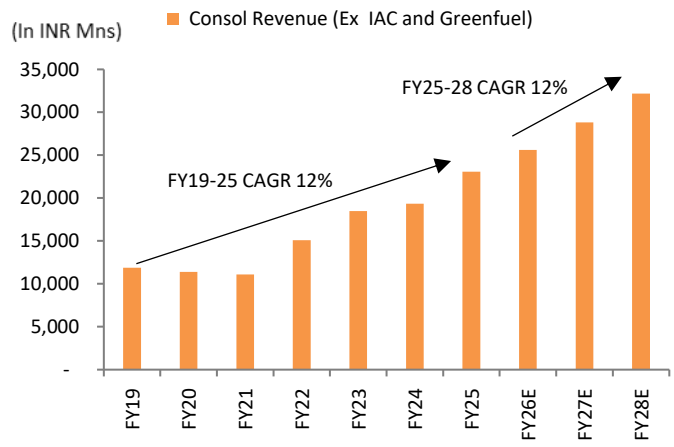
We expect consolidated revenue to grow at a ~16% CAGR over FY25–FY28E, led by continued scaling of IAC and Greenfuel and strong contributions from emerging subsidiaries such as Alps Alpine, FAE, Jopp, Ituran, and Yokowo. Mannoh and Cornaglia will remain key growth pillars, benefiting from rising automatic car penetration (for Mannoh) and new product introductions such as plastic fuel tanks, hard-top roofs, and DPF/urea tanks, along with incremental customer additions.

Exhibit 47: Overall revenue CAGR of 21% (FY19-25) acquisition-led



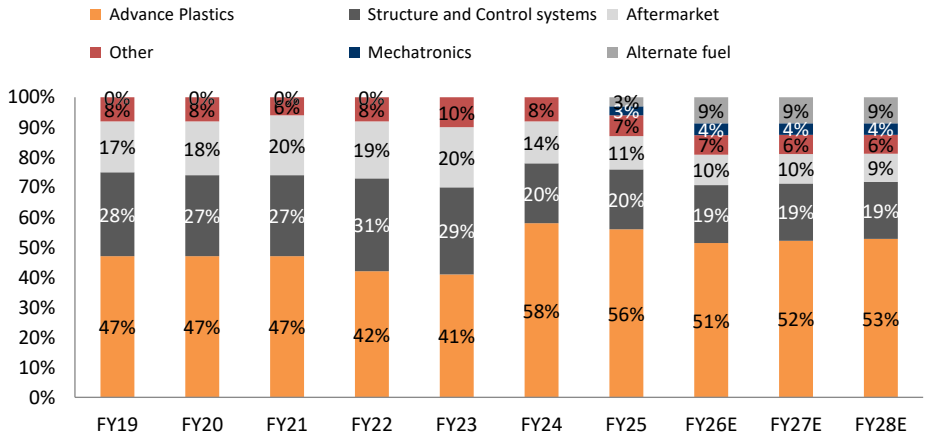
Source: Company, Equirus

Exhibit 48: Ex-acquisition revenue CAGR at 12%



Source: Company, Equirus

Exhibit 49: Advance plastic and Alternate fuel division to drive growth



Source: Company, Equirus

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Margins rise to ~13% in FY25

Further gains expected as high-margin segments scale

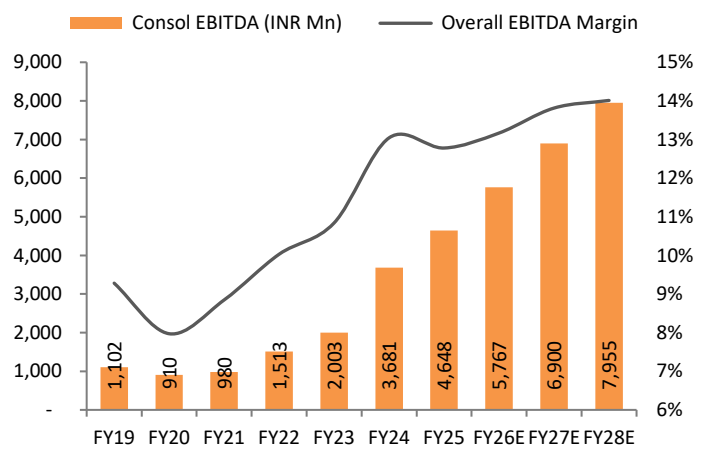
LMAX's EBITDA margins improved nearly 400bps – from 9% in FY19 to around 13% in FY25. While the acquisitions of IAC and Greenfuel were the key drivers, Lumax Mannoh and Lumax Cornaglia also contributed meaningfully. Ex-acquisitions, margins rose by a modest ~100bps, as gains from Mannoh and Cornaglia were offset by stable standalone margins and weaker emerging subsidiaries.

400bps margin expansion since FY19; mix shift towards high-value products to drive next leg

Historically, LMAX operated at moderate 8–9% EBITDA margins, reflecting its commodity-oriented 2W plastics and metals portfolio. The inclusion of IAC and Greenfuel – both operating at 15–18% margins – has transformed LMAX into a product and system supplier, driving a structural margin uplift. Additionally, Mannoh has benefited from premiumisation and rising automatic transmission mix, while Cornaglia's margins improved on new product introductions and higher content per vehicle.

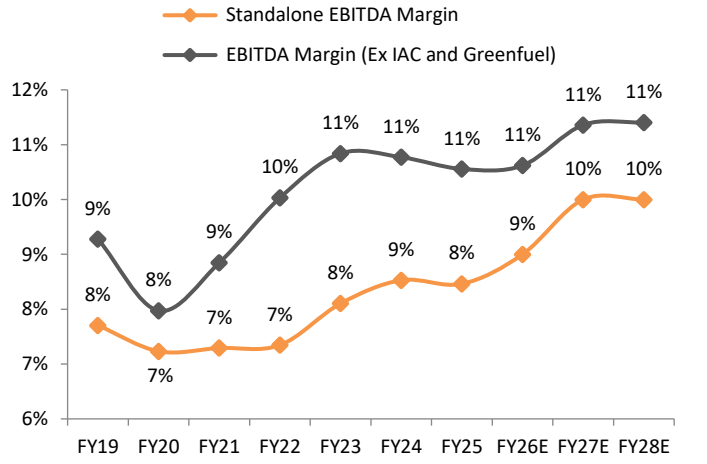
Over FY25-FY28E, margins are set to expand by another ~120bps, with sustained performance at key subsidiaries and operating leverage as emerging businesses scale. Standalone margins should improve by ~120bps on a recovery in 2W industry volumes and steady aftermarket business growth.

Exhibit 50: Expect 120bps margin expansion over FY25-FY28E



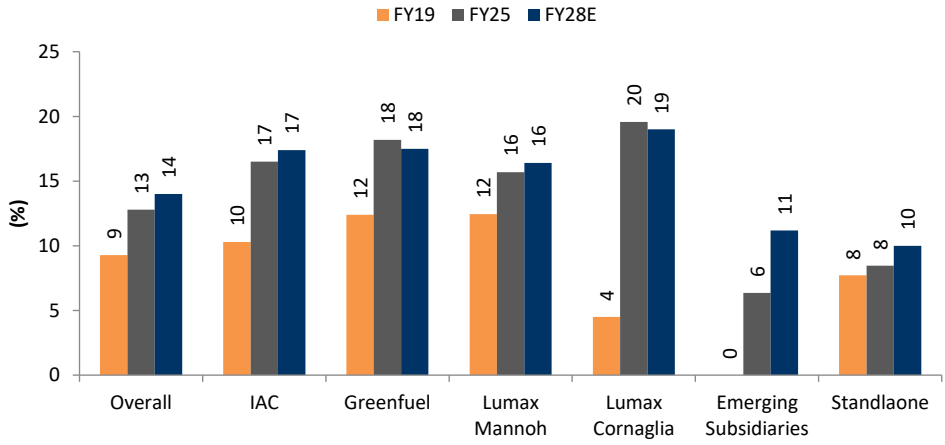
Source: Company, Equirus

Exhibit 51: Standalone margin expansion driven by aftermarket growth



Source: Company, Equirus

Exhibit 52: Emerging subsidiaries to see decent margin expansion



Source: Company, Equirus

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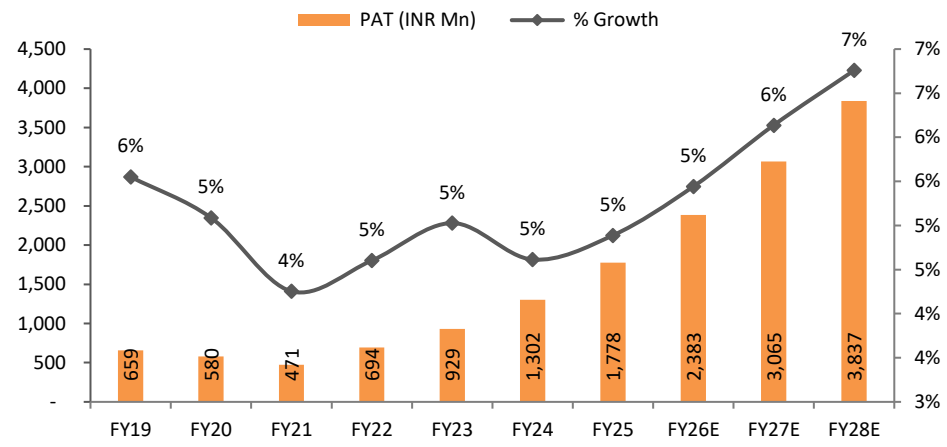
Robust operational growth to drive profitability

Between FY19–FY25, LMAX's PAT grew at a healthy ~18% CAGR, led by strong operational performance and strategic acquisitions. Even on an organic basis (ex-acquisitions), growth remained robust at ~13% CAGR, outpacing the broader auto-ancillary industry.

Looking ahead, with a robust operational outlook, profitability is expected to accelerate, with a ~30% PAT CAGR likely over FY25–FY28E. Following the full acquisition of IAC India, minority interest – currently 20–22% of overall PAT – is expected to decline to 13-14%, further amplifying consolidated earnings growth. We estimate PAT before minority interest to grow at a ~25% CAGR over FY25–FY28E, underscoring the company's strong operational trajectory.

Exhibit 53: Expect 29% PAT CAGR over FY25-28E



Source: Company Data, Equirus

Return ratios to improve on strong profitability, controlled capex

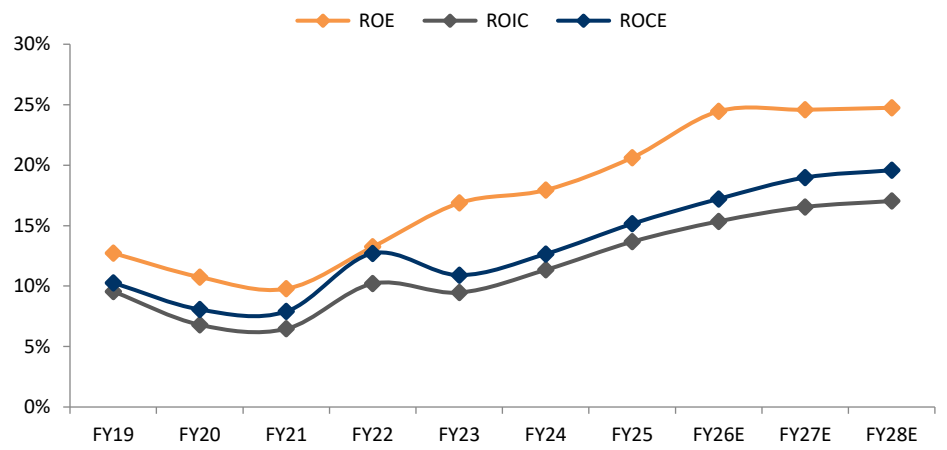
Between FY19 and FY25, LMAX's return ratios improved steadily, driven by strong execution and disciplined capital allocation. ROE rose from 13% to 21% and should touch ~25% by FY27-FY28E. ROIC, after dipping to 6% in FY21, is projected to rise to ~17%, while ROCE should improve from 15% in FY25 to ~20% by FY28E. Full consolidation of IAC India will reduce minority interest, boosting net earnings and supporting a ~30% PAT CAGR over FY25–FY28E.

Together, these factors position LMAX for sustained improvement in return ratios and meaningful shareholder value creation over the medium term.

ROE to rise from 21% in FY25 to ~25% by FY28E

ROIC/ROCE to reach ~17%/~20%, aided by a 30% PAT CAGR

Exhibit 54: Controlled investment to bode well for return ratios



Source: Company, Equirus

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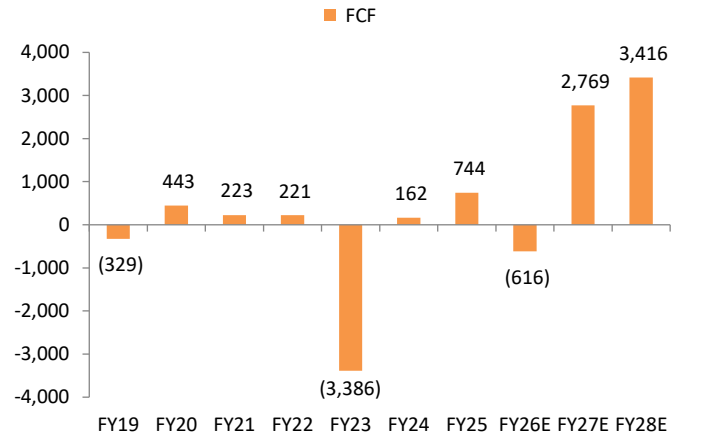
FCF improvement to drive debt reduction

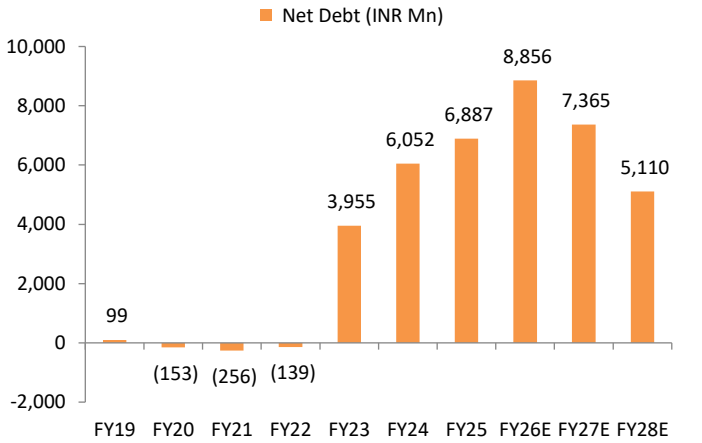
LMAX, historically debt-free, increased leverage to fund recent acquisitions, leading to a sharp rise in net debt. The planned purchase of the remaining 25% stake in IAC India for Rs 2.21bn will lift debt further in FY26E, pressuring FCFF, which had been positive historically. From FY27E, with no major acquisitions planned and annual capex normalising at ~Rs 2bn, FCFF should improve materially, enabling net debt reduction. Despite the temporary rise, debt-to-equity remains comfortable at 0.8x, expected to decline to 0.4x by FY28E.

Exhibit 55: Significant FCF improvement on cards…



Source: Company, Equirus

Exhibit 56: …driving debt reduction



Source: Company, Equirus

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Valuation & View

Profitable growth engine in motion – initiate with LONG

From parts to platforms – a full system play emerging; initiate with LONG

Premiumisation, CPV gains to power growth

LMAX is set to benefit from the ongoing premiumisation across its key product segments, supported by strong industry volume growth.

- We expect a ~16% consolidated revenue CAGR over FY25-FY28E, with robust growth at IAC and Greenfuel, while improving performance at emerging subsidiaries will offer additional upside. Expected recovery in the 2W industry should also aid standalone operations.
- EBITDA margins are projected to expand by ~120bps to 14% by FY28, led by (a) operating leverage from optimum capacity utilisation, (b) a richer mix of high-margin subsidiaries such as IAC, Greenfuel, Mannoh, and Cornaglia, and (c) scaling up of emerging subsidiaries.

Stronger cash generation, deleveraging to enhance returns

With profitability on an upswing and capex normalising, LMAX's balance sheet is set to strengthen meaningfully over the next three years.

- PAT is estimated to rise from Rs 1.8bn in FY25 to Rs 4bn in FY28E, implying a ~31% CAGR, driven by margin gains, steady interest costs, and reduced minority interest.
- FCFF generation should improve sharply to Rs 5.6bn during FY26E–FY28E, aided by higher profitability, tapering inorganic spends, and steady capex of ~Rs 2bn annually. Strong FCFF generation should bring down net debt from Rs 6.9bn in FY25 to Rs 4.8bn in FY28E, strengthening the balance sheet.

We project 16%/20%/29% revenue/EBITDA/PAT growth over FY25-FY28E and value the stock at 27x Mar'28 EPS to arrive at a Mar'27 TP of Rs 1,520. Initiate coverage with LONG.

Key Risks

Customer concentration risk: LMAX derives ~40% of its consolidated revenue from two marquee OEMs – M&M and Bajaj Auto. While this provides scale and visibility, it also creates dependence risk. Any slowdown in production, model launches, or demand at these OEMs – whether from industry cyclicality, regulatory shifts, or competitive pressures – could materially impact topline performance. Expanding the customer base and wallet share across other OEMs remains key to mitigating this risk.

RM cost volatility: LMAX's operations are sensitive to movements in polypropylene and steel prices, which form a large share of raw material costs. While most cost changes are contractually passed on to OEMs, there is typically a lag, which can compress margins during inflationary phases or offer a short-term buffer in deflationary periods. Hence, efficient procurement and tighter OEM negotiations remain crucial to protect margins.

Execution risk in emerging subsidiaries: Future growth depends on the timely ramp-up of emerging subsidiaries and JVs – including IAC (advanced plastics), Lumax Cornaglia (clean mobility), and Mannoh (gear shifters). These ventures are in attractive but early-stage growth segments, making them vulnerable to delays in customer approvals, slower volume ramp-ups, or operational inefficiencies. Sustained focus on integration, capacity utilisation, and localisation will be critical to realise their full potential.

Exhibit 57: Peer comparison

Company	CMP	M-cap	CAGR FY25-FY28E			P/E (X)			EV/EBITDA (X)			ROE (%)		
	(Rs)	(Rs mn)	Sales	EBITDA	EPS	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Lumax Auto Technologies	1,163	81,169	16%	20%	29%	33.3	25.9	20.7	15.6	12.9	10.9	19%	22%	22%
Minda Corporation	589	1,36,969	14%	17%	25%	47.6	34.1	28.5	22.9	19.2	16.7	12%	15%	15%
Uno Minda	1,220	7,26,653	18%	20%	30%	52.0	46.4	37.6	34.0	29.3	23.7	20%	19%	19%
Varroc Engineering	606	91,412	10%	14%	41%	26.9	19.6	16.0	10.5	8.8	7.4	20%	24%	25%
Endurance Technologies	2,889	4,13,464	18%	21%	26%	39.6	31.2	24.8	21.1	17.1	13.9	17%	18%	19%
Gabriel	1,271	1,85,315	19%	24%	31%	60.7	41.4	33.3	38.7	27.1	24.9	22%	25%	20%
Craftsman Automation	6,548	1,57,196	18%	24%	47%	40.6	27.7	22.0	16.0	13.2	11.5	13%	16%	17%
SAMIL	104	10,91,752	8%	11%	16%	27.3	21.1	18.0	11.1	9.7	8.7	11%	13%	13%

Source: Bloomberg, Equirus

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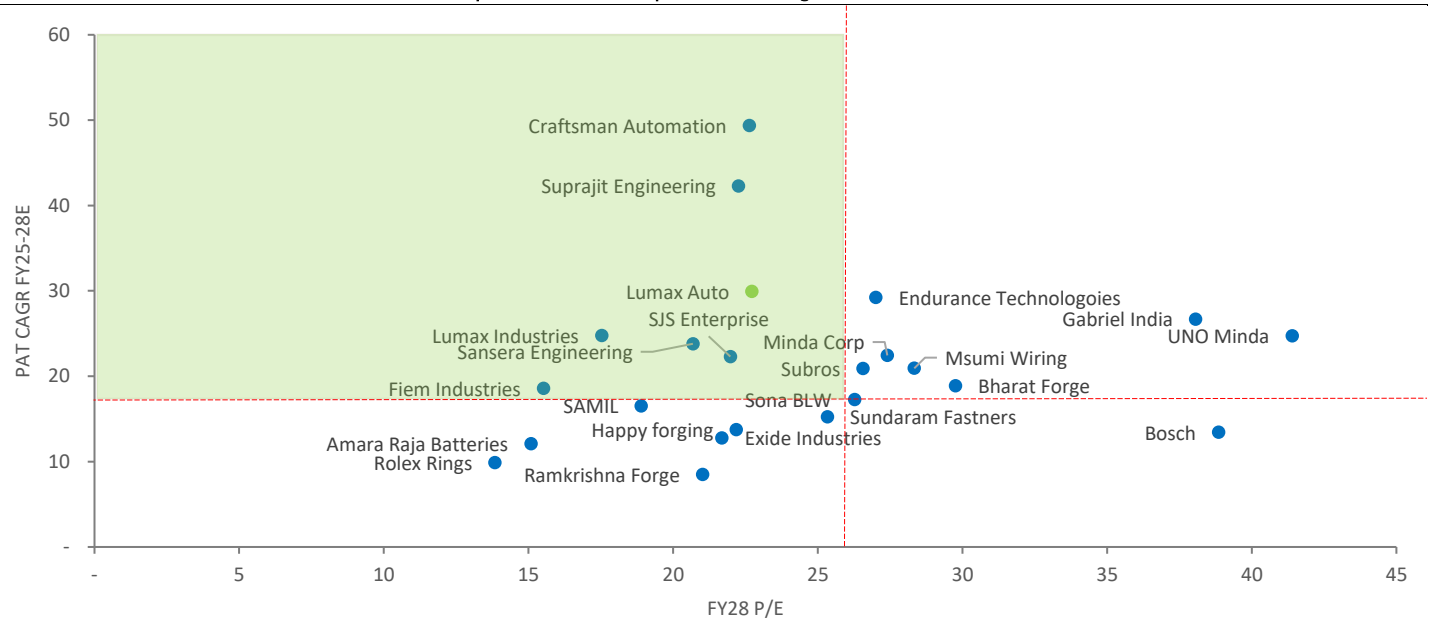
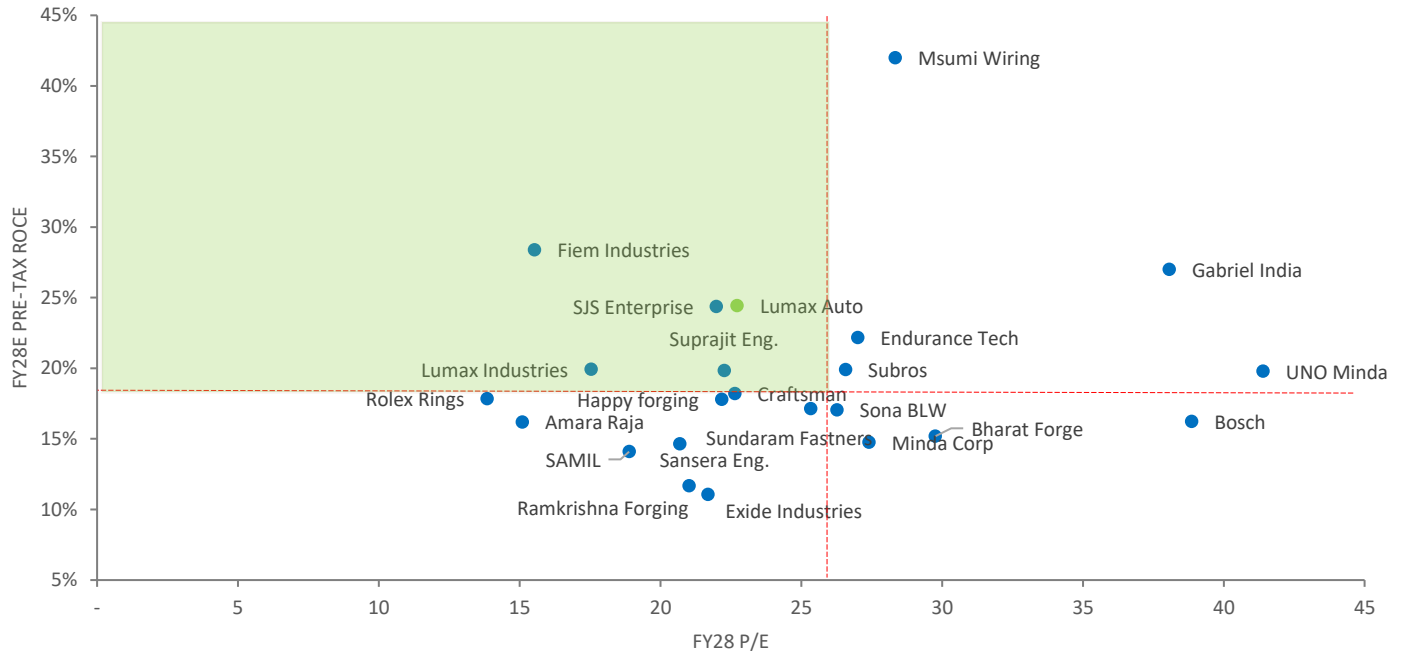
Exhibit 58: LMAX IN trades at 21x FY28E EPS, well-placed relative to peers delivering a similar FY25–28E PAT CAGR.



Source: Bloomberg, Equirus

Exhibit 59: LMAX IN's FY28E ROCE is projected to outperform both industry and peer averages



Source: Bloomberg, Equirus

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Annexure

Standalone Business

LMAX's standalone operations include aftermarket, metallic, and plastic divisions. While consolidated performance is increasingly driven by JVs, standalone operations continue to post steady growth aided by long-standing OEM tie-ups, a strong aftermarket franchise, and gradual customer diversification.

Aftermarket division

Rs 4bn aftermarket business – 2.2x growth since FY18 driven by scale and brand strength

The aftermarket division is a key pillar of LMAX's standalone business, contributing ~11% to consolidated and ~27% to standalone revenue. The company offers a diversified nine-category portfolio spanning lighting, horns, wiper blades, filters, engine oils and lubricants, car care products, gear knobs, mirrors, and door visors. Lighting products contribute 75–80% of aftermarket revenue, reflecting LMAX's strong brand equity. About half are sourced from Lumax Industries and the rest from third-party vendors, supporting an asset-light trading model.

LMAX operates a nationwide network of 350+ channel partners and over 26,000 retail outlets, ensuring strong market visibility. With its trading-led model, the division delivers ~12% EBITDA margins, higher than manufacturing segments. Revenue rose 2.2x from Rs 1.7bn in FY18 to Rs 4bn in FY25, despite COVID disruptions. Management targets doubling aftermarket revenue over the medium term, driven by portfolio expansion and deeper channel reach, implying sustained mid-teen growth.

Metallic Division

The metallic division manufactures motorcycle chassis and seat frames, forming an important part of LMAX's standalone operations. The company is a key chassis supplier for Bajaj Auto's export models, with selective domestic presence. As most OEMs produce chassis in-house, outsourcing opportunities remain limited, though some are exploring partial externalisation.

The division also supplies seat frames to global tier-1s such as Lear and Magna, and to OEMs like M&M. But as product design is typically customer-driven, value addition is modest, leading to EBITDA margins of 6-7%. Competitors: SM Auto, Belrise Industries (formerly Badve Engineering), and Metalman Auto.

Chassis and seat structures – niche supplier to Bajaj Auto, Lear, and Magna

Exhibit 60: 2W Chassis

Source: Company, Equirus

Exhibit 61: Seat Structures

Source: Company, Equirus

Plastic Division

Expanding OEM base – from HMSI to Hero MotoCorp and Maruti Suzuki

The plastic division has been a long-standing supplier of moulded components to Honda Motorcycle & Scooter India while gradually expanding relationships with Maruti Suzuki and Toyota. LMAX also supplies select components to Lumax Industries and has recently secured orders from Hero MotoCorp, reflecting growing customer diversification. Growth in this segment is closely aligned with OEM production trends, though new customer additions offer incremental upside.

Exhibit 62: Front and Rear Fenders

Source: Company, Equirus

Exhibit 63: Head Lamps

Source: Company, Equirus

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Key Subsidiaries

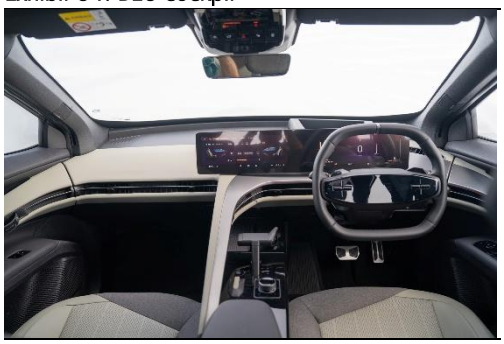
IAC International Automotive India (100% stake)

IAC International Automotive India is a leading supplier of automotive interior systems and components, catering to major passenger vehicle OEMs across India. Established in 2008 and headquartered in Pune, Maharashtra, it specialises in the design, engineering, and production of premium interior solutions – including cockpit systems, instrument panels, door trims, consoles, headliners, flooring, and acoustic systems – for both electric and internal combustion vehicles.

JV with IAC Group, US

Exclusive supplier of integrated cockpits & door panels for Mahindra, driving premium interior content

Exhibit 64: BE6 cockpit



Source: *M&M, Equirus*

Exhibit 65: BE6 door panel

Source: *M&M, Equirus*

IAC India operates seven manufacturing facilities, including two in Pune and others in Nashik, Manesar, and Bengaluru, ensuring proximity to key OEMs for improved production efficiency and stronger relationships. The company is a Tier-1 supplier with major partnerships across leading OEMs such as Mahindra & Mahindra and Maruti Suzuki, and is the exclusive supplier of integrated cockpits and door panels for M&M's EV platforms (*Mahindra BE6, XEV 9e*).

IAC India entered the domestic market to serve global clients Ford and General Motors, but following their exit from India, the company expanded its local customer base by partnering with M&M. To scale further with other OEMs, it required a domestic partner with strong industry relationships – a gap bridged by LMAX, which combined its OEM reach with IAC's global design and engineering expertise.

In March 2023, LMAX acquired a 75% stake in IAC India at an equity valuation of Rs 5.9bn (9x FY23 P/E) for a consideration of Rs 4.4bn. Subsequently, in May 2025, LMAX acquired the remaining 25% stake for Rs 2.2bn (10x FY25 P/E), completing the transaction by May 31, 2025. With this, IAC India became a wholly owned subsidiary of LMAX.

Despite the equity exit, the IAC Group continues to support IAC India under a long-term technology collaboration agreement. This partnership creates a synergistic model, with IAC providing tech and design expertise and LMAX leveraging its deep OEM relationships in India to secure new business opportunities. LMAX expects meaningful value creation from this collaboration, making it a mutually beneficial arrangement for both partners.

IAC India competes with leading players such as Faurecia India (TAFE Group), Motherson Group, Tata AutoComp, and Krishna Group, ranking among the top three interior systems suppliers in the Indian automotive market.

Exhibit 66: IAC India: Financial snapshot

Particulars	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Revenue (Rs. Mn)	2,816	2,917	3,081	3,707	3,376	2,802	4,681	8,008	8,856	12,181
EBITDA (Rs. Mn)	315	357	251	381	355	220	610	1,124	1,404	2,010
EBITDA Margin (%)	*11.2%*	*12.2%*	*8.2%*	*10.3%*	*10.5%*	*7.9%*	*13.0%*	*14.0%*	*15.9%*	*16.5%*
PAT (Rs. Mn)	99	171	146	122	147	53	332	590	414	886
ROE	9.9%	15.0%	11.2%	8.5%	9.3%	3.2%	18.3%	27.9%	13.2%	20.1%
ROCE	14.7%	17.4%	9.6%	11.7%	10.0%	3.2%	18.2%	35.5%	18.5%	21.5%

Source: *Company, Equirus*

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Greenfuel Energy Solutions (60% stake)

JV with Greenfuel Energy Solutions, India

Providing high-pressure CNG and hydrogen systems to Maruti and Tata, expanding LMAX's clean mobility play

Through its wholly owned subsidiary, Lumax Resources, LMAX acquired a 60% stake in Greenfuel Energy Solutions' alternate fuels business for Rs 1.53bn. This strategic acquisition marks LMAX's entry into the green and alternate fuels space – spanning Compressed Natural Gas (CNG), hydrogen, and other clean-fuel applications – segments expected to see robust growth in the coming years.

Greenfuel is a leading supplier of high-pressure fuel delivery and storage systems for CNG and hydrogen vehicles and also provides fire, smoke detection, and suppression systems for the automotive industry. Its customer base includes key OEMs such as Maruti Suzuki and Tata Motors. The acquisition helps LMAX diversify its portfolio, strengthen its sustainable mobility presence, and align with the industry shift toward cleaner technologies.

Exhibit 67: CNG Filters

Source: Company, Equirus

Exhibit 68: Cylinder Valve

Source: Company, Equirus

Exhibit 69: Greenfuel Energy Solutions: Financial snapshot

Particulars	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Revenue (Rs. Mn)	399	412	534	859	763	930	1,914	2,165	2,144	3,169
EBITDA (Rs. Mn)	39	36	51	106	55	111	343	210	366	483
EBITDA Margin (%)	*9.7%*	*8.8%*	*9.6%*	*12.4%*	*7.3%*	*12.0%*	*17.9%*	*9.7%*	*17.1%*	*15.2%*
PAT (Rs. Mn)	27	30	34	80	23	85	248	157	317	381
ROE	11.6%	11.5%	12.0%	24.0%	6.0%	19.2%	41.0%	20.2%	36.1%	46.5%
ROCE	13.1%	12.1%	15.4%	28.2%	9.9%	20.2%	48.4%	18.4%	30.2%	47.1%

Source: Company, Equirus, **Note:** *The financial statements for FY24 and FY25 have been restated as Greenfuel Energy Soulutions has demerged its battery business and sold it to Greenfuel Battery Solutions Pvt Ltd.*

Lumax Mannoh Allied Technologies (55% stake)

JV with Mannoh Industrial, Japan

Developed India's first localised AMT and DCT gear shifters, leveraging tech expertise and OEM reach.

Lumax Mannoh Allied Technologies (LMAT) is a JV between LMAX and Japan's Mannoh Industrial Co. Ltd. The company manufactures shift levers (manual, AMT, CVT, and automatic), spare wheel carriers, and forged cutting components, supported by Mannoh's advanced metalworking expertise. With three plants in India and localized R&D and validation capabilities, LMAT delivers high-precision engineering solutions that enhance powertrain performance, structural integrity, and long-term durability.

Exhibit 70: Gear shifter

Source: Company, Equirus

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The venture caters to a diverse customer base, supplying to leading OEMs such as MSIL, M&M, Toyota, Tata Motors, Honda, and Daimler. LMAT has developed India's first localised AMT and DCT gear shifters, including supplies for Tata Motors, showcasing its ability to deliver global technology in a cost-competitive, localised format. This has helped LMAT build a strong presence across passenger vehicles, commercial vehicles, and off-highway applications.

For LMAX, LMAT is a strategically important venture, expanding its presence in high-value transmission and structural components – segments seeing rising demand with greater adoption of AMT, CVT, and DCT systems in India. By combining Mannoh's technology leadership with Lumax's deep OEM relationships, the JV enhances content per vehicle and positions LMAX to capture growth from the industry's shift toward advanced drivetrains and premium platforms.

LMAT's key competitors include Kongsberg Automotive and Tata AutoComp.

Exhibit 71: Lumax Mannoh Allied Technologies: Financial snapshot

Particulars	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Revenue (Rs. Mn)	703	1,028	1,321	1,435	1,251	1,230	2,013	3,008	3,525	3,619
EBITDA (Rs. Mn)	71	129	189	179	191	185	323	489	586	568
EBITDA Margin (%)	*10.0%*	*12.6%*	*14.3%*	*12.4%*	*15.2%*	*15.0%*	*16.1%*	*16.3%*	*16.6%*	*15.7%*
PAT (Rs. Mn)	53	99	141	126	113	106	194	311	393	368
ROE	48.6%	56.1%	50.5%	34.6%	28.3%	23.6%	34.4%	41.1%	48.1%	39.2%
ROCE	47.8%	60.4%	58.2%	41.6%	31.5%	25.2%	39.0%	47.2%	56.9%	46.9%

Source: Company, Equirus

Lumax Cornaglia Auto Technologies (50% stake)

Lumax Cornaglia Auto Technologies (LCAT), a JV between LMAX and Italy's Cornaglia S.p.A. established in 2007, specialises in advanced emission systems, air induction, and lightweight plastic components for two- and four-wheelers. Its diverse portfolio includes air filtration systems, plastic fuel tanks (including CV applications introduced for the first time in India), snorkels, AdBlue (urea) tanks, degassing tanks, 3D blow-moulded ducts and hoses, and roto-moulded cabin parts. Operations are based in a modern, eco-friendly facility at Chakan, Pune, equipped with European machinery and an in-house R&D centre, which has expanded capacity by ~40% to meet rising demand and tighter emission norms such as BS-VI, CAFÉ, and RDE.

JV with Cornaglia S.p.A., Italy

Pioneer in plastic fuel tanks and emission systems, capacity up 40% to meet BS-VI, CAFÉ, and RDE norms

Exhibit 72: Air Intake system

Source: Company, Equirus

Exhibit 73: Plastic fuel tanks

Source: Company, Equirus

LCAT supplies leading OEMs including Tata Motors, Mahindra & Mahindra, Skoda-Volkswagen India, Toyota (India & Indonesia), Stellantis, MG Motor, SEAT, Skoda Czech, and VW Poland. Its integration of injection, 2D/3D blow moulding, and rotational moulding under one roof, supported by Cornaglia's global expertise, enables delivery of lightweight, regulatory-compliant solutions, positioning LCAT as a key partner for OEMs amid tightening emission standards.

Strategically, LCAT is focusing on plastic fuel tanks and emission-related moulded parts, key growth areas as OEMs accelerate lightweighting and emission control initiatives. With strong R&D, long-standing OEM relationships, and Cornaglia's global know-how, the JV is well placed to capture opportunities in the evolving clean mobility space. Its main domestic competitor is Mahle Anand Filter Systems.

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Exhibit 74: Lumax Cornaglia Auto Technologies: Financial snapshot

Particulars	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25
Revenue	329	389	474	444	472	726	994	1,348	1,573	1,672
EBITDA	35	48	66	20	39	122	221	256	276	327
EBITDA Margin (%)	*10.5%*	*12.3%*	*13.9%*	*4.5%*	*8.3%*	*16.8%*	*22.2%*	*19.0%*	*17.6%*	*19.5%*
PAT	16	26	41	9	4	66	127	144	127	178
ROE	9.1%	12.9%	16.9%	3.9%	1.7%	22.1%	32.2%	27.2%	19.0%	22.3%
ROCE	12.8%	16.7%	20.6%	1.0%	2.1%	18.2%	35.6%	26.3%	18.4%	19.3%

Source: *Company, Equirus*

Lumax Alps Alpine India (50% stake)

Lumax Alps Alpine India (LAAIPL) is a 50:50 JV between LMAX and Japan's Alps Alpine, established in 2021 to expand LMAX's presence in automotive electronics. The venture began with power window switches for Maruti Suzuki and has recently added throttle position sensors, marking its entry into high-value sensor applications. LAAIPL aims to broaden its portfolio into HMI solutions, advanced switches, sensors, and software-embedded components, aligning with the industry's shift toward electronics-led vehicle architectures.

JV with Alps Alpine, Japan

Expanding from power window switches to sensors, driving LMAX's entry into automotive electronics

Exhibit 75: Power Window Switch

Source: *Company, Equirus*

Key customers include MSIL and HMSI, with active engagements underway with Tata Motors for upcoming programs. Backed by Alps Alpine's global R&D and design expertise, the JV is well positioned to deliver next-generation cockpit and control solutions tailored to Indian OEM needs. Competitors include Continental, Denso, Bosch, Hyundai Mobis, Aptiv, Infineon Technologies, and Uno Minda.

Lumax Ituran Telematics (50% stake)

Lumax Ituran Telematics (LITPL) is a 50:50 JV between LMAX and Israel's Ituran Location & Control, established in 2017 to deliver advanced connected mobility solutions in India. The company offers a comprehensive telematics portfolio – including GPS-based vehicle tracking, immobilizers, stolen vehicle recovery, fleet management, and driver behaviour monitoring systems.

JV with Israel's Ituran

Delivering advanced telematics solutions to Daimler and expanding presence across OEMs and fleets

Exhibit 76: Telematic Control Unit

Source: *Company, Equirus*

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Backed by Ituran's global expertise – including its proven capabilities as a solutions provider to the Israeli Air Force – LITPL delivers highly reliable, performance-resilient systems tailored for Indian operating conditions. Its key customer is Daimler, for which it supplies integrated telematics devices for commercial vehicle applications, while also expanding across OEM and fleet operator segments.

In India, the telematics market is competitive and fragmented, with iTriangle being a leading domestic player, followed by global technology providers such as Teltonika and Bosch. Other players include UNO Minda, Atlanta Systems, LG, Blackbox, Rosmerta Technologies, and Nippon Audiotronix.

Lumax Yokowo Technologies (50% stake)

JV with Japan's Yokowo

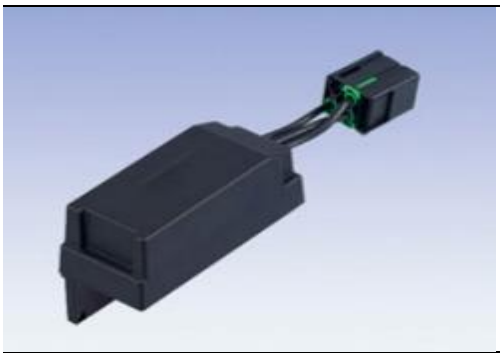
Delivering antenna and connectivity solutions for Honda, Toyota, and M&M amid rising connected mobility adoption

Lumax Yokowo Technologies (LYTPL) is a JV between LMAX and Japan's Yokowo, established in 2020 to introduce advanced vehicle communication technologies in India. The company designs and manufactures antennas and communication modules that enable connected and intelligent mobility solutions. Combining Yokowo's global expertise in high-frequency technologies with Lumax's strong OEM relationships, the JV offers end-to-end antenna systems customised for Indian vehicle platforms.

Exhibit 77: Shark fin antenna

Source: Company, Equirus

Exhibit 78: LF Antenna



Source: Company, Equirus

LYTPL's customers include Honda Cars India, Toyota, and Mahindra & Mahindra, where its antenna systems and connectivity modules are integrated into passenger vehicles and SUVs. With growing adoption of connected vehicle features, infotainment, and telematics, the JV is well positioned to scale as OEMs expand their connected mobility offerings. In India, LYTPL competes with global Tier-1 suppliers such as Bosch and Continental, along with other automotive electronics firms offering antenna and connectivity systems.

Lumax JOPP Allied Technologies (50% stake)

JV with Germany's JOPP

Supplying advanced gearshift systems to Maruti and M&M across manual and automatic platforms

Lumax JOPP Allied Technologies (LJATL) is a JV between LMAX and Germany's JOPP Holding GmbH, formed to manufacture advanced transmission and gearshift systems for the Indian automotive market. The company's portfolio includes control housings, monostable E-shifters, smart actuators, and shift towers, catering to both manual and automatic transmissions. By combining JOPP's global expertise in precision gearshift technology with Lumax's strong OEM relationships and local manufacturing capabilities, the JV delivers high-quality, reliable, and cost-efficient solutions suited to Indian market needs. Key customers include MSIL and Mahindra & Mahindra M&M.

LJATL competes with Kongsberg Automotive, EMMFORCE, and other domestic and global suppliers specialising in advanced gearshift systems.

Exhibit 79: Monostable E-shifters

Source: Company, Equirus

Exhibit 80: Shift Tower

Source: Company, Equirus

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Lumax FAE Technologies (84% stake)

Lumax FAE Technologies (LFTPL) is a JV between LMAX and Spain's FAE Group, established to manufacture oxygen sensors – critical components in vehicle emission control systems. These sensors help automakers meet stringent BS-VI norms and optimise engine efficiency.

By combining FAE's global R&D expertise with Lumax's strong OEM relationships, the JV delivers localised, high-quality sensor solutions aligned with India's rising electronic content per vehicle. Key customers include Royal Enfield and Mahindra & Mahindra.

JV with Spain's FAE

Manufacturing BS-VI compliant oxygen sensors for Royal Enfield & M&M amid rising electronic content per vehicle

Exhibit 81: Oxygen sensors

Source: *Company, Equirus*

LFTPL operates in a competitive market dominated by Pricol, Bosch, Denso, and Delphi, alongside other players such as Hyundai Kefico, NGK Spark Plugs, Pucheng Sensors, and United Automotive Electronic Systems.

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Company Snapshot

How we differ from consensus

Particular (Rs Mn)		Equirus	Consensus	% Diff	Comment
Sales	FY26E	43,794	43,818	0%	
	FY27E	49,945	51,142	-2%	
EBITDA	FY26E	5,767	5,797	-1%	
	FY27E	6,900	7,047	-2%	
PAT	FY26E	2,383	2,425	-2%	
	FY27E	3,065	3,227	-5%	

Key Estimates

Key Assumptions	FY25	FY26E	FY27E	FY28E
Advance Plastics	20,365	22,525	26,070	29,966
Structure and Control systems	7,273	8,437	9,534	10,773
Mechatronics	1,091	1,746	1,938	2,151
Alternate fuel	1,091	3,795	4,326	4,932
Aftermarket	4,000	4,440	4,884	5,373
Other	2,546	2,851	3,193	3,576
Total Revenue	**36,367**	**43,794**	**49,945**	**56,772**

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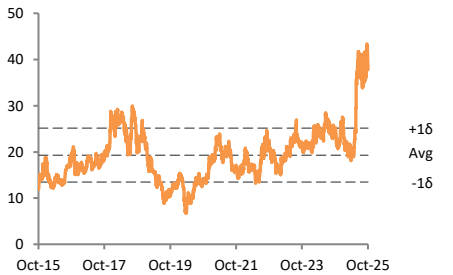
Comparable valuation

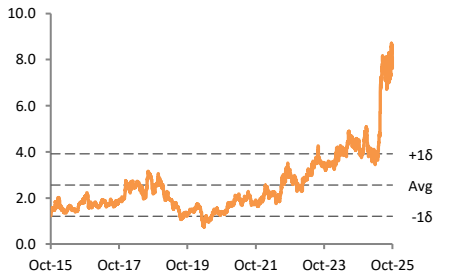
Company	Reco.	CMP	Mkt Cap Rs. Mn.	Price Target	Target Date	P/E			P/ABV			EV/EBITDA			RoE			Div Yield
						FY25A	FY26E	FY27E	FY25A	FY26E	FY27E	FY25A	FY26E	FY27E	FY25A	FY26E	FY27E	FY25A
Lumax Auto Technologies	**LONG**	**1,163**	**81,169**	**1,520**	**Mar-27**	**45.8**	**34.1**	**26.5**	**8.7**	**7.2**	**5.8**	**19.0**	**15.6**	**12.9**	**15%**	**19%**	**22%**	**0.5%**
Minda Corporation	NA	589	1,36,969	NA	NA	55.1	47.6	34.1	6.4	5.5	5.0	26.7	23.3	19.4	12%	12%	15%	0.2%
Uno Minda	LONG	1,220	7,26,653	1,268	Dec-26	74.6	52.1	46.5	11.5	9.5	7.9	38.5	30.5	26.2	17%	20%	19%	0.2%
Varroc Engineering	ADD	606	91,412	587	Jun-26	44.2	26.7	19.5	5.8	5.1	4.4	12.6	10.4	8.7	13%	20%	24%	0.1%
Endurance Technologies	LONG	2,889	4,13,464	3,108	Dec-26	49.3	39.6	31.2	7.1	6.1	5.2	25.6	20.5	16.6	15%	17%	18%	0.3%
Gabriel	NA	1,271	1,85,315	NA	NA	74.6	60.7	41.4	15.4	12.9	10.7	46.9	38.3	26.8	22%	22%	25%	0.4%
Craftsman Automation	NA	6,548	1,57,196	NA	NA	69.3	40.6	27.7	5.5	4.9	4.2	21.4	15.5	12.8	9%	13%	16%	0.1%
SAMIL	NA	104	10,91,752	NA	NA	28.4	27.3	21.1	3.2	2.9	2.6	11.9	10.9	9.5	12%	11%	13%	0.5%

Price to earning chart



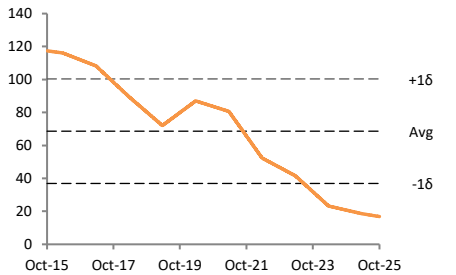
Source: Company, Equirus Research

Price to book chart



Source: Company, Equirus Research

EV-EBITDA chart



Source: Company, Equirus Research

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Quarterly performance

Y/E Mar (Rs mn)	1QFY25A	2QFY25A	3QFY25A	4QFY25A	1QFY26A	2QFY26E	3QFY26E	4QFY26E
Revenue	**7,559**	**8,423**	**9,056**	**11,329**	**10,264**	**11,085**	**11,307**	**11,139**
COGS	4,806	5,419	5,871	7,356	6,635	7,094	7,214	7,042
Employee Cost	1,078	1,140	1,201	1,345	1,391	1,463	1,470	1,413
Other Expenses	796	842	805	1,062	989	1,031	1,085	1,200
EBITDA	**880**	**1,022**	**1,179**	**1,566**	**1,249**	**1,496**	**1,538**	**1,484**
Depreciation	295	293	327	371	385	392	392	392
EBIT	**585**	**730**	**852**	**1,195**	**864**	**1,105**	**1,146**	**1,092**
Interest Exp.	194	185	198	212	231	224	224	224
Other Income	174	154	89	93	109	109	109	109
Profit before Tax	**565**	**698**	**743**	**1,076**	**742**	**990**	**1,031**	**977**
Tax Expenses	149	180	182	279	202	245	256	239
Profit After Tax	**416**	**518**	**560**	**797**	**540**	**744**	**775**	**738**
Minority Interest	(100)	(89)	(112)	(213)	(126)	(96)	(96)	(96)
Profit/(Loss) from Associates	0	0	0	0	0	0	0	0
Recurring PAT	**317**	**429**	**448**	**584**	**414**	**648**	**679**	**642**
Exceptional Items	0	0	0	0	0	0	0	0
Reported PAT	**317**	**429**	**448**	**584**	**414**	**648**	**679**	**642**
Other comprehensive income.	0	0	0	0	0	0	0	0
PAT after comp. income.	**317**	**429**	**448**	**584**	**414**	**648**	**679**	**642**
FDEPS	**4.6**	**6.3**	**6.6**	**8.6**	**6.1**	**9.5**	**10.0**	**9.4**
Cost items as % of sales								
RM expenses	63.6	64.3	64.8	64.9	64.6	64.0	63.8	63.2
Employee expenses	14.3	13.5	13.3	11.9	13.6	13.2	13.0	12.7
Other expenses	10.5	10.0	8.9	9.4	9.6	9.3	9.6	10.8
Margin (%)								
Gross Margin	36.4	35.7	35.2	35.1	35.4	36.0	36.2	36.8
EBITDA Margin	11.6	12.1	13.0	13.8	12.2	13.5	13.6	13.3
PAT Margin	4.2	5.1	4.9	5.2	4.0	5.8	6.0	5.8
YoY Growth (%)								
Sales	19.7	20.3	23.6	49.6	35.8	31.6	24.9	(1.7)
EBITDA	9.8	13.4	11.3	70.5	41.9	46.4	30.4	(5.3)
EBIT	14.7	21.6	11.9	89.7	47.8	51.4	34.6	(8.6)
PAT	43.2	56.5	22.9	32.1	30.7	51.1	51.6	10.0

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Key Financials (Consolidated)

Income Statement

Y/E Mar (Rs mn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**15,079**	**18,475**	**28,217**	**36,367**	**43,794**	**49,945**	**56,772**
COGS	10,279	12,411	18,027	23,451	27,984	31,815	36,163
Employee Cost	1,628	1,985	3,622	4,764	5,737	6,243	6,813
Other Expenses	1,660	2,076	2,887	3,504	4,306	4,987	5,840
EBITDA	**1,513**	**2,003**	**3,681**	**4,648**	**5,767**	**6,900**	**7,955**
Depreciation	395	523	1,180	1,286	1,560	1,751	1,912
EBIT	**1,117**	**1,480**	**2,501**	**3,361**	**4,207**	**5,149**	**6,043**
Interest Exp.	93	163	684	790	903	870	718
Other Income	128	239	450	510	435	501	586
Profit before Tax	**1,152**	**1,556**	**2,267**	**3,082**	**3,740**	**4,780**	**5,911**
Tax Expenses	310	353	598	790	942	1,205	1,490
Profit After Tax	**842**	**1,203**	**1,670**	**2,292**	**2,798**	**3,575**	**4,422**
Minority Interest	(125)	(186)	(368)	(514)	(414)	(510)	(585)
Profit/(Loss) from Associates	(6)	0	0	0	0	0	0
Recurring PAT	**712**	**1,017**	**1,302**	**1,778**	**2,383**	**3,065**	**3,837**
Exceptional Items	(18)	(88)	0	0	0	0	0
Reported PAT	**694**	**929**	**1,302**	**1,778**	**2,383**	**3,065**	**3,837**
Other comprehensive income.	0	0	0	0	0	0	0
PAT after comp. income.	**694**	**929**	**1,302**	**1,778**	**2,383**	**3,065**	**3,837**
FDEPS	10.4	14.9	19.1	26.1	35.0	45.0	56.3
DPS	4	5	6	6	6	6	7
BVPS	80	97	116	137	167	206	255

YoY Growth (%)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Sales	36.1	22.5	52.7	28.9	20.4	14.0	13.7
EBITDA	54.3	32.4	83.8	26.3	24.1	19.6	15.3
EBIT	75.0	32.4	69.0	34.4	25.2	22.4	17.4
PAT	47.3	33.8	40.2	36.6	34.1	28.6	25.2

Key Ratios

Profitability (%)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Gross Margin	31.8	32.8	36.1	35.5	36.1	36.3	36.3
EBITDA Margin	10.0	10.8	13.0	12.8	13.2	13.8	14.0
PAT Margin	4.6	5.0	4.6	4.9	5.4	6.1	6.8
ROE	12.1	14.0	14.0	15.4	18.6	21.5	21.5
ROIC	12.0	10.8	12.2	14.3	15.4	16.9	18.5
Core ROIC	14.5	12.5	13.2	14.9	15.7	17.0	19.0
Dividend Payout	34.4	33.0	28.8	21.1	15.7	13.3	11.5

CAGR (%)	1 year	2 years	3 years	5 years	7 years	10 years
Revenue	28.9	40.3	34.1	26.1	20.0	15.8
EBITDA	26.3	52.3	45.4	38.6	26.8	21.4
PAT	36.6	38.3	36.8	25.1	20.3	14.7

Valuation (x)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
P/E	111.4	78.0	60.9	44.6	33.3	25.9	20.7
P/B	14.6	12.0	10.0	8.5	7.0	5.7	4.6
P/FCFF	283.2	(24.2)	131.9	62.8	(4,666.2)	23.7	20.4
EV/EBITDA	52.3	41.6	23.2	18.5	15.3	12.6	10.6
EV/Sales	5.2	4.5	3.0	2.4	2.0	1.7	1.5
Dividend Yield (%)	0.3	0.4	0.5	0.5	0.5	0.5	0.6

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Balance Sheet

Y/E Mar (Rs mn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Equity Capital	136	136	136	136	136	136	136
Reserves	5,303	6,480	7,760	9,210	11,219	13,875	17,269
Net Worth	**5,439**	**6,616**	**7,896**	**9,347**	**11,355**	**14,011**	**17,405**
Total Debt	1,245	5,522	6,803	7,684	8,884	7,684	5,984
Other long term liabilities	542	1,856	1,463	1,841	1,841	1,841	1,841
Minority Interest	608	1,871	2,237	3,585	1,300	1,810	2,395
Account Payables	2,310	3,840	4,858	6,859	8,259	9,419	10,707
Other Current Liabilities	1,244	2,143	2,658	3,076	3,704	4,224	4,801
Total Liabilities	**11,389**	**21,848**	**25,915**	**32,391**	**35,343**	**38,989**	**43,133**
Gross Fixed Assets	6,749	13,797	14,685	18,994	20,994	23,187	25,187
Acc. Depreciation	(2,784)	(3,640)	(4,776)	(6,062)	(7,621)	(9,372)	(11,285)
Net Fixed Assets	3,964	10,158	9,909	12,933	13,373	13,815	13,902
Capital WIP	121	129	358	692	692	500	500
long term investments	659	1,167	1,775	2,205	2,205	2,205	2,205
Others	348	542	767	604	882	1,752	2,469
Inventory	1,118	1,611	2,488	3,665	4,413	5,033	5,721
Receivables	2,664	4,612	5,781	7,924	9,542	10,883	12,370
Loans and advances	6	10	12	17	17	17	17
Other current assets	1,125	2,052	4,072	3,554	4,189	4,466	5,074
Cash & Cash Equivalents.	1,384	1,568	751	796	28	318	874
Total Assets	**11,389**	**21,848**	**25,915**	**32,391**	**35,343**	**38,989**	**43,133**
Non-Cash WC	1,357	2,302	4,837	5,226	6,199	6,756	7,674
Cash Conv. Cycle	35.6	47.1	44.1	47.5	47.5	47.5	47.5
WC Turnover	11.1	8.0	5.8	7.0	7.1	7.4	7.4
Gross Asset Turnover	223.4	133.9	192.2	191.5	208.6	215.4	225.4
Net Asset Turnover	3.7	1.8	2.7	2.7	3.1	3.5	3.9
Net D/E	(2.3)	46.6	59.7	53.3	70.0	46.6	25.8

Days (x)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Receivable Days	64	91	75	80	80	80	80
Inventory Days	27	32	32	37	37	37	37
Payable Days	56	76	63	69	69	69	69
Non-cash WC days	33	45	63	52	52	49	49

Cash Flow

Y/E Mar (Rs mn)	FY22A	FY23A	FY24A	FY25A	FY26E	FY27E	FY28E
Profit Before Tax	1,129	1,468	2,267	3,082	3,740	4,780	5,911
Depreciation	395	523	1,180	1,286	1,560	1,751	1,912
Others	(58)	(189)	(277)	(422)	0	0	0
Tax paid	(329)	(383)	(639)	(742)	(942)	(1,205)	(1,490)
Change in WC	(316)	(151)	(481)	(1,045)	(673)	(557)	(618)
Operating Cashflow	**874**	**1,372**	**2,654**	**2,905**	**3,684**	**4,769**	**5,716**
Capex	(468)	(773)	(987)	(1,724)	(2,000)	(2,000)	(2,000)
Change in Invest.	(357)	(199)	(1,071)	941	(300)	0	(300)
Others	171	(3,786)	(433)	(1,379)	(2,000)	0	0
Investing Cashflow	**(654)**	**(4,758)**	**(2,492)**	**(2,161)**	**(4,300)**	**(2,000)**	**(2,300)**
Change in Debt	522	4,154	1,013	833	1,200	(1,200)	(1,700)
Change in Equity	0	0	0	0	0	0	0
Others	(197)	(234)	(874)	(968)	(903)	(870)	(718)
Financing Cashflow	**97**	**3,648**	**(398)**	**(533)**	**(78)**	**(2,479)**	**(2,861)**
Net Change in Cash	**318**	**262**	**(236)**	**211**	**(694)**	**290**	**555**

Source: Company, Equirus Research

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Absolute Rating • LONG : Over the investment horizon, ATR >= Ke for companies with Free Float market cap >Rs 5 billion and ATR >= 20% for rest of the companies • ADD: ATR >= 5% but less than Ke over investment horizon • REDUCE: ATR >= negative 10% but <5% over investment horizon • SHORT: ATR < negative 10% over investment horizon **Relative Rating** • OVERWEIGHT: Likely to outperform the benchmark by at least 5% over investment horizon • BENCHMARK: likely to perform in line with the benchmark • UNDERWEIGHT: likely to under-perform the benchmark by at least 5% over investment horizon **Investment Horizon** Investment Horizon is set at a minimum 3 months to maximum 18 months with target date falling on last day of a calendar quarter	Equirus Securities Private Limited Unit No. A2102B, 21st Floor, A Wing, Marathon Futurex, N M Joshi Marg, Lower Parel, Mumbai-400013. Tel. No: +91 – (0)22 – 4332 0600 Fax No: +91- (0)22 – 4332 0601 **Corporate Office:** 1205 & 1206, A-Block, 12th Floor, Navratna Corporate Park, Bopal-Ambli Road, Ahmedabad – 380 058 Tel. No: +91 (0)79 - 6190 9550 Fax No: +91 (0)79 – 6190 9560

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